

**SUBSTITUTE FOR
HOUSE BILL NO. 5356**

A bill to amend 1949 PA 300, entitled
"Michigan vehicle code,"
by amending sections 14, 41a, 78, 217, 217c, 233, 233a, 233b, 234,
235, 238, 239, 240, 248, 248a, 248j, 249, 250, 258, 801b, 806, and
810a (MCL 257.14, 257.41a, 257.78, 257.217, 257.217c, 257.233,
257.233a, 257.233b, 257.234, 257.235, 257.238, 257.239, 257.240,
257.248, 257.248a, 257.248j, 257.249, 257.250, 257.258, 257.801b,
257.806, and 257.810a), sections 14, 217c, 235, 248, and 250 as
amended by 2022 PA 224, section 41a as amended by 1998 PA 384,
sections 217 and 233a as amended by 2023 PA 240, section 233 as
amended by 2014 PA 290, section 233b as amended by 2002 PA 642,
section 234 as amended by 2002 PA 552, section 238 as amended by
2014 PA 291, section 239 as amended by 2020 PA 382, section 240 as



amended by 2004 PA 493, section 248a as amended by 2012 PA 498, section 248j as added by 2002 PA 652, section 249 as amended by 2004 PA 495, section 258 as amended by 2018 PA 74, section 801b as amended by 1986 PA 311, section 806 as amended by 2023 PA 129, and section 810a as amended by 1993 PA 300, and by adding section 9b.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 **Sec. 9b. "Courtesy transportation vehicle" means a new motor**
2 **vehicle that has been titled and registered by a dealer and is used**
3 **primarily for the dealer's service customers. After the courtesy**
4 **transportation vehicle is used more than 5,000 miles, the vehicle**
5 **is a used vehicle.**

6 Sec. 14. (1) Except as provided in subsections (2), (3), and
7 (4), "established place of business" means premises actually
8 occupied either continuously or at regular periods by a dealer or
9 manufacturer at which the dealer or manufacturer keeps its books
10 and records and at which the dealer or manufacturer transacts a
11 large share of its business.

12 (2) For a class (a) or class (b) dealer, "established place of
13 business" means premises that meet all of the following
14 requirements:

15 (a) The premises contain, except as otherwise provided in this
16 act, a permanently enclosed building or structure that is either
17 owned, leased, or rented by the dealer; the building or structure
18 is not a residence, tent, temporary stand, or any temporary
19 quarters; the building or structure is continuously occupied in
20 good faith for the purpose of selling, buying, trading, leasing, or
21 otherwise dealing in motor vehicles; all books, records, and files
22 necessary to conduct the business of a class (a) or class (b)
23 dealer are **securely** maintained in the building or structure; and



1 the building or structure houses an office of at least 150 square
2 feet in size, equipped with standard office furniture, **secure**
3 **document storage**, working utilities, a working restroom, and a
4 working telephone listed in the name of the business on the
5 dealer's license.

6 (b) The premises have land space of not less than 1,300 square
7 feet to accommodate the display of a minimum of 10 vehicles of the
8 kind and type that the dealer is licensed to sell and an additional
9 650 square feet for customer parking.

10 (c) The display and customer parking areas described in
11 subdivision (b) are adequately surfaced and well-lit during
12 business hours.

13 (d) The premises are identified by an exterior sign displaying
14 the name of the dealership that is permanently affixed to the
15 building or land with letters clearly visible from the roadway.

16 (e) The premises contain a conspicuous posting of the dealer's
17 regular hours of operation. The posted hours must not be less than
18 30 hours per week for not less than 48 weeks per year. Fifteen of
19 the 30 hours per week must be between the hours of 8 a.m. and 5
20 p.m., Monday through Friday. The dealer may change its posted hours
21 of operation to be less than 30 hours per week for not more than 4
22 weeks per year if the dealer notifies the department not less than
23 7 days prior to the change. The department shall waive the 7-day
24 notification requirement under this subdivision for good cause,
25 including, but not limited to, a medical emergency or other
26 extenuating circumstances.

27 (f) The premises contain a registered repair facility on site
28 for the repair and servicing of motor vehicles of a type sold at
29 the established place of business, unless the dealer has entered



1 into a written servicing agreement with a registered repair
2 facility at a location that is located within a 10-mile radius of
3 the established place of business. If repairs are conducted under a
4 servicing agreement, the dealer shall conspicuously post the
5 servicing agreement in the dealer's office.

6 (g) The premises meet all applicable zoning requirements and
7 any other applicable municipal requirements.

8 (3) For a wholesaler, "established place of business" means
9 premises that meet all of the following requirements:

10 (a) The premises contain a permanently enclosed building or
11 structure that is either owned, leased, or rented and is not a
12 commercial mailbox, tent, temporary stand, or other temporary
13 quarters. Beginning January 1, 2024, the permanently enclosed
14 building or structure must be heated and electrified.

15 (b) Until December 31, 2023, all books, records, and files
16 necessary to conduct the business of the wholesaler are maintained
17 in the building or structure described in subdivision (a).
18 Beginning January 1, 2024, all books, records, and files necessary
19 to conduct the business of the wholesaler are maintained in an
20 office that meets all of the following requirements:

21 (i) Is not less than 8 feet by 8 feet with a door.

22 (ii) Has no fewer than 4 rigid walls.

23 (iii) Has working utilities including, but not limited to,
24 lighting and telephone that are listed in the name of the business
25 on the wholesaler's license.

26 (iv) Has a working restroom.

27 (v) Has standard office furniture including, but not limited
28 to, a desk and a locking filing cabinet.

29 (c) The premises are not used for the display of vehicles.



1 However, the premises may be used for the storage of vehicles
2 purchased by the wholesaler before sale to a licensed vehicle
3 dealer.

4 (d) The premises are identified by an exterior sign displaying
5 the name of the wholesaler that is permanently affixed to the
6 building or land with letters clearly visible from the roadway.

7 (e) The premises meet all applicable zoning requirements and
8 any other applicable municipal requirements.

9 (f) The premises contain a conspicuous posting of the
10 wholesaler's regular hours of operation that include at least 15
11 regular business hours each week between the hours of 8 a.m. and 5
12 p.m., Monday through Friday.

13 (g) If a wholesaler receives its initial license on or after
14 January 1, 2023, the premises are not located within 200 feet of an
15 established place of business for another licensed wholesaler.

16 (4) For a used or secondhand vehicle parts dealer, vehicle
17 scrap metal processor, vehicle salvage pool operator, distressed
18 vehicle transporter, broker, and automotive recycler, "established
19 place of business" means premises that meet all of the following
20 requirements:

21 (a) Beginning January 1, 2024, the premises contain a
22 permanently enclosed building or structure that is heated and
23 electrified and that is either owned, leased, or rented by the
24 business and that is not a commercial mailbox, tent, temporary
25 stand, or other temporary quarters.

26 (b) Beginning January 1, 2024, all books, records, and files
27 necessary to conduct the business of the dealer, processor,
28 operator, transporter, broker, or recycler are maintained in an
29 office that meets all of the following requirements:



1 (i) Is not less than 8 feet by 8 feet with a door.

2 (ii) Has no fewer than 4 rigid walls.

3 (iii) Has working utilities including, but not limited to,
4 lighting and telephone that are listed in the name of the business
5 on the dealer's, processor's, operator's, transporter's, broker's,
6 or recycler's license.

7 (iv) Has a working restroom.

8 (v) Has standard office furniture including, but not limited
9 to, a desk and a locking filing cabinet.

10 (c) The premises are identified by an exterior sign displaying
11 the name of the dealer, processor, operator, transporter, broker,
12 or recycler that is permanently affixed to the building or land
13 with letters clearly visible from the roadway.

14 (d) The premises meet all applicable zoning requirements and
15 any other applicable municipal requirements.

16 (e) The premises contain a conspicuous posting of the
17 business's regular hours of operation. The posted hours must not be
18 less than 15 hours per week for not less than 48 weeks per year.
19 Five of the 15 hours per week must be between the hours of 8 a.m.
20 and 5 p.m., Monday through Friday.

21 Sec. 41a. "Police book" means a hardcover, bound volume or a
22 **an electronic** record in a form prescribed by the secretary of state
23 that provides a bought and sold record for each vehicle handled by
24 a dealer, contains the information required by section 251, and
25 includes any other information required by law or the secretary of
26 state.

27 Sec. 78. "Used or ~~second-hand~~ **secondhand** vehicle" means any
28 motor vehicle, **except for a courtesy transportation vehicle**, to
29 which a certificate of title and license plates have been issued



1 and which motor vehicle has been registered for use on the highways
2 by a consumer or by a dealer.

3 Sec. 217. (1) An owner of a vehicle that is subject to
4 registration under this act shall apply to the secretary of state,
5 on an appropriate form furnished by the secretary of state, for the
6 registration of the vehicle and issuance of a certificate of title
7 for the vehicle. A vehicle brought into this state from another
8 state or jurisdiction that has a rebuilt, salvage, scrap, flood, or
9 comparable certificate of title issued by that other state or
10 jurisdiction must be issued a rebuilt, salvage, scrap, or flood
11 certificate of title by the secretary of state. The application
12 must be accompanied by the required fee. An application for a
13 certificate of title must bear the signature or verification and
14 certification of the owner. The application must contain all of the
15 following:

16 (a) The owner's name, the owner's bona fide residence, and
17 either of the following:

18 (i) If the owner is an individual, the owner's mailing address.

19 (ii) If the owner is a firm, association, partnership, limited
20 liability company, or corporation, the owner's business address.

21 (b) A description of the vehicle including the make or name,
22 style of body, and model year; the number of miles, not including
23 the tenths of a mile, registered on the vehicle's odometer at the
24 time of transfer; whether the vehicle is a flood vehicle or another
25 state previously issued the vehicle a flood certificate of title;
26 whether the vehicle is to be or has been used as a taxi or police
27 vehicle, or by a political subdivision of this state, unless the
28 vehicle is owned by a dealer and loaned or leased to a political
29 subdivision of this state for use as a driver education vehicle;



1 whether the vehicle has previously been issued a salvage or rebuilt
2 certificate of title from this state or a comparable certificate of
3 title from any other state or jurisdiction; the vehicle
4 identification number; and the vehicle's weight fully equipped, if
5 a passenger vehicle registered in accordance with section
6 801(1)(a), and, if a trailer coach or pickup camper, in addition to
7 the weight, the manufacturer's serial number, or in the absence of
8 the serial number, a number assigned by the secretary of state. A
9 number assigned by the secretary of state must be permanently
10 placed on the trailer coach or pickup camper in the manner and
11 place designated by the secretary of state.

12 (c) A statement of the applicant's title and the names and
13 addresses of the holders of security interests in the vehicle and
14 in an accessory to the vehicle, in the order of their priority.

15 (d) Further information that the secretary of state reasonably
16 requires to enable the secretary of state to determine whether the
17 vehicle is lawfully entitled to registration and the owner entitled
18 to a certificate of title. If the secretary of state is not
19 satisfied as to the ownership of a vehicle having a value over
20 \$2,500.00, **or \$5,000.00 for a new vehicle dealer licensed under**
21 **this act**, or that is less than 10 years old, before registering the
22 vehicle and issuing a certificate of title, the secretary of state
23 may require the applicant to file a properly executed surety bond
24 in a form prescribed by the secretary of state and executed by the
25 applicant and a company authorized to conduct a surety business in
26 this state. The bond must be in an amount equal to ~~twice~~ **2 times**
27 the value of the vehicle as determined by the secretary of state
28 and must be conditioned to indemnify or reimburse the secretary of
29 state, any prior owner, and any subsequent purchaser or lessee of



1 the vehicle and their successors in interest against any expense,
2 loss, or damage, including reasonable attorney fees, because of the
3 issuance of a certificate of title for the vehicle or on account of
4 any defect in the right, title, or interest of the applicant in the
5 vehicle. An interested person has a right of action to recover on
6 the bond for a breach of the conditions of the bond, but the
7 aggregate liability of the surety to all persons must not exceed
8 the amount of the bond. If the secretary of state is not satisfied
9 as to the ownership of a vehicle that is valued at \$2,500.00, **or**
10 **\$5,000.00 for a new vehicle dealer licensed under this act**, or less
11 and that is 10 years old or older, the secretary of state shall
12 require the applicant to certify that the applicant is the owner of
13 the vehicle and entitled to register and title the vehicle.

14 (e) Except as provided in subdivision (f), an application for
15 a commercial vehicle must also have attached a scale weight receipt
16 of the motor vehicle fully equipped as of the time the application
17 is made. A scale weight receipt is not necessary if there is
18 presented with the application a registration receipt of the
19 previous year that shows on its face the empty weight of the motor
20 vehicle as registered with the secretary of state that is
21 accompanied by a statement of the applicant that there has not been
22 structural change in the motor vehicle that has increased the empty
23 weight and that the previous registered weight is the true weight.

24 (f) An application for registration of a vehicle on the basis
25 of elected gross weight must include a declaration by the applicant
26 specifying the elected gross weight for which application is being
27 made.

28 (g) If the application is for a certificate of title of a
29 motor vehicle registered in accordance with section 801(1)(p), the



1 application must include the manufacturer's suggested base list
2 price for the model year of the vehicle. The base list price must
3 be the manufacturer's suggested retail price as shown on the label
4 required to be affixed to the vehicle under 15 USC 1232. If the
5 manufacturer's suggested retail price is unavailable, the
6 application must list the purchase price of the vehicle. As used in
7 this subdivision, "purchase price" means that term as defined in
8 section 801.

9 (2) An applicant for registration of a leased pickup truck or
10 passenger vehicle that is subject to registration under this act,
11 except a vehicle that is subject to a registration fee under
12 section 801g, shall disclose in writing to the secretary of state
13 the lessee's name, the lessee's bona fide residence, and either of
14 the following:

15 (a) If the lessee is an individual, the lessee's Michigan
16 driver license number or Michigan personal identification number
17 or, if the lessee does not have a Michigan driver license or
18 Michigan personal identification number, the lessee's mailing
19 address.

20 (b) If the lessee is a firm, association, partnership, limited
21 liability company, or corporation, the lessee's business address.

22 (3) The secretary of state shall maintain the information
23 described in subsection (2) on the secretary of state's computer
24 records.

25 (4) Except as provided in subsections (5), (11), and (12), a
26 dealer selling, leasing, or exchanging vehicles required to be
27 titled, within 21 days after delivering a vehicle to the purchaser
28 or lessee, and a person engaged in the sale of vessels required to
29 be numbered by part 801 of the natural resources and environmental



1 protection act, 1994 PA 451, MCL 324.80101 to 324.80199, within 21
2 days after delivering a boat trailer weighing less than 2,500
3 pounds to the purchaser or lessee, shall apply to the secretary of
4 state for a new title, if required, and transfer or secure
5 registration plates and secure a certificate of registration for
6 the vehicle or boat trailer, in the name of the purchaser or
7 lessee. Subject to subsection (11), the dealer's license may be
8 suspended or revoked in accordance with section 249 for failure to
9 apply for a title when required or for failure to transfer or
10 secure registration plates and certificate of registration within
11 the 21 days required by this section. Subject to subsection (11),
12 if the dealer or person fails to apply for a title when required,
13 and to transfer or secure registration plates and secure a
14 certificate of registration and pay the required fees within 21
15 days of delivery of the vehicle or boat trailer, a title and
16 registration for the vehicle or boat trailer may subsequently be
17 acquired only on the payment of a late transfer fee of \$50.00 for
18 an individual or a dealer other than a dealer subject to section
19 235b in addition to the fees specified in section 806. Subject to
20 subsection (11), for a used or secondhand vehicle dealer subject to
21 section 235b, the late transfer fee is \$100.00 in addition to the
22 fees specified in section 806. The purchaser or lessee of the
23 vehicle or the purchaser of the boat trailer shall sign the
24 application, including, if applicable, the declaration specifying
25 the maximum elected gross weight as required by subsection (1)(f),
26 and other necessary papers to enable the dealer or person to secure
27 the title, registration plates, and transfers from the secretary of
28 state. If the secretary of state mails or delivers a purchaser's
29 certificate of title to a dealer, the dealer shall mail or deliver



1 the certificate of title to the purchaser not later than 5 days
2 after receiving the certificate of title from the secretary of
3 state. However, as provided under section 238, the secretary of
4 state is not required to issue a paper title to the owner of a
5 vehicle or lienholder if the title is subject to a security
6 interest, and may issue an electronic title as provided under
7 section 222.

8 (5) Except as provided in subsection (12), a dealer selling or
9 exchanging an off lease or buy back vehicle shall apply to the
10 secretary of state for a new title for the vehicle ~~within~~**not later**
11 **than** 21 days after it receives the certificate of title from the
12 lessor or manufacturer under section 235 or section 235b and
13 transfer or secure registration plates and secure a certificate of
14 registration for the vehicle in the name of the purchaser. Subject
15 to subsection (12), the dealer's license may be suspended or
16 revoked in accordance with section 249 for failure to apply for a
17 title when required or for failure to transfer or secure
18 registration plates and certificate of registration within the 21-
19 day period. Subject to subsection (12), if the dealer or person
20 fails to apply for a title when required, and to transfer or secure
21 registration plates and secure a certificate of registration and
22 pay the required fees within the 21-day time period, a title and
23 registration for the vehicle may subsequently be acquired only on
24 the payment of a late transfer fee of \$50.00 for an individual or
25 dealer other than a used or secondhand vehicle dealer subject to
26 section 235b in addition to the fees specified in section 806.
27 Subject to subsection (12), the late transfer fee for a used or
28 secondhand vehicle dealer subject to section 235b is \$100.00 in
29 addition to the fees specified in section 806. The purchaser of the



1 vehicle shall sign the application, including, if applicable, the
2 declaration specifying the maximum elected gross weight as required
3 by subsection (1)(f), and other necessary papers to enable the
4 dealer or person to secure the title, registration plates, and
5 transfers from the secretary of state. If the secretary of state
6 mails or delivers a purchaser's certificate of title to a dealer,
7 the dealer shall mail or deliver the certificate of title to the
8 purchaser not later than 5 days after receiving the certificate of
9 title from the secretary of state. However, as provided under
10 section 238, the secretary of state is not required to issue a
11 paper title to the owner of a vehicle if the title is subject to a
12 security interest, and may issue an electronic title as provided
13 under section 222.

14 (6) If a vehicle is delivered to a purchaser or lessee who has
15 valid Michigan registration plates that are to be transferred to
16 the vehicle, and an application for title, if required, and
17 registration for the vehicle is not made before delivery of the
18 vehicle to the purchaser or lessee, the registration plates must be
19 affixed to the vehicle immediately, and the dealer shall provide
20 the purchaser or lessee with an instrument in writing, on a form
21 prescribed by the secretary of state, which serves as a temporary
22 registration for the vehicle for a period of 30 days from the date
23 the vehicle is delivered.

24 (7) If the seller does not prepare the credit information,
25 contract note, and mortgage, and the holder, finance company,
26 credit union, or banking institution requires the installment
27 seller to record the lien on the title, the holder, finance
28 company, credit union, or banking institution shall pay the seller
29 a service fee of not more than \$10.00. The service fee must be paid



1 from the finance charges and must not be charged to the buyer in
2 addition to the finance charges. The holder, finance company,
3 credit union, or banking institution shall issue its check or bank
4 draft for the principal amount financed, payable jointly to the
5 buyer and seller, and the following must be imprinted on the back
6 side of the check or bank draft:

7 "Under Michigan law, the seller must record a first lien in
8 favor of (name of lender) _____ on the vehicle with
9 vehicle identification number _____ and title the vehicle
10 only in the name(s) shown on the reverse side."

11 (8) On the front of the check or draft described under
12 subsection (7), the holder, finance company, credit union, or
13 banking institution shall note the name or names of the prospective
14 owners. Failure of the holder, finance company, credit union, or
15 banking institution to comply with these requirements frees the
16 seller from any obligation to record the lien or from any liability
17 that may arise as a result of the failure to record the lien. A
18 service fee must not be charged to the buyer.

19 (9) In the absence of actual malice proved independently and
20 not inferred from lack of probable cause, a person who in any
21 manner causes a prosecution for larceny of a motor vehicle; for
22 embezzlement of a motor vehicle; for any crime an element of which
23 is the taking of a motor vehicle without authority; or for buying,
24 receiving, possessing, leasing, or aiding in the concealment of a
25 stolen, embezzled, or converted motor vehicle knowing that the
26 motor vehicle has been stolen, embezzled, or converted, is not
27 liable for damages in a civil action for causing the prosecution.
28 This subsection does not relieve a person from proving any other
29 element necessary to sustain the person's cause of action.



1 (10) Receipt by the secretary of state of a properly tendered
2 application for a certificate of title on which a security interest
3 in a vehicle is to be indicated is a condition of perfection of a
4 security interest in the vehicle and is equivalent to filing a
5 financing statement under the uniform commercial code, 1962 PA 174,
6 MCL 440.1101 to 440.9994, with respect to the vehicle. When a
7 security interest in a vehicle is perfected, it has priority over
8 the rights of a lien creditor as that term is defined in section
9 9102 of the uniform commercial code, 1962 PA 174, MCL 440.9102.

10 (11) Notwithstanding subsection (4), a dealer selling,
11 leasing, or exchanging vehicles, required to be titled, after March
12 31, 2021 but before August 1, 2021, may apply to the secretary of
13 state for a new title, if required, and transfer or secure
14 registration plates and secure a certificate of registration for
15 the vehicle in the name of the purchaser within 30 days. Both of
16 the following apply to a dealer that complies with this subsection:

17 (a) The dealer's license must not be suspended or revoked in
18 accordance with section 249 for failure to apply for a title when
19 required or for failure to transfer or secure registration plates
20 and certificate of registration within the 21-day period required
21 under subsection (4).

22 (b) The secretary of state shall not charge any applicable
23 late fees required under subsection (4) and shall, on the dealer's
24 request, reimburse a late fee charged and collected after March 31,
25 2021 to the end of the period described under this subsection.

26 (12) Notwithstanding subsection (5), a dealer selling or
27 exchanging an off lease or buy back vehicle after March 31, 2021
28 but before August 1, 2021 may apply to the secretary of state for a
29 new title for the vehicle ~~within~~ **not later than** 30 days after the



1 dealer receives the certificate of title from the lessor or
2 manufacturer under section 235 or 235b and transfer or secure
3 registration plates and secure a certificate of registration for
4 the vehicle in the name of the purchaser. Both of the following
5 apply to a dealer that complies with this subsection:

6 (a) The dealer's license must not be suspended or revoked in
7 accordance with section 249 for failure to apply for a title when
8 required or for failure to transfer or secure registration plates
9 and certificate of registration within the 21-day period required
10 under subsection (5).

11 (b) The secretary of state shall not charge any applicable
12 late fees required under subsection (5) and shall, on the dealer's
13 request, reimburse a late fee charged and collected after March 31,
14 2021 to the end of the period described under this subsection.

15 Sec. 217c. (1) The secretary of state may conduct periodic
16 reviews of the records of a dealer to determine whether adequate
17 notice is given to a transferee or lessee of a rebuilt salvage
18 vehicle of that vehicle's prior designation as a salvage vehicle.
19 The secretary of state may request an insurance company to provide
20 copies of salvage title documents and claims reports involving
21 major component parts to assist the secretary of state in
22 monitoring compliance with this act.

23 (2) Except for a late model vehicle that has been stolen and
24 recovered and that has no major component part removed, missing, or
25 destroyed, or damaged and not salvageable, an insurance company
26 licensed to conduct business in this state that acquires ownership
27 of a late model vehicle through the payment of a claim shall
28 proceed under either of the following:

29 (a) If the insurance company acquires ownership of the vehicle



1 through payment of a **total loss** claim, the owner of the vehicle
2 ~~must~~**shall** assign the certificate of title to the insurance
3 company, which shall do all of the following:

4 (i) Surrender a properly assigned certificate of title to the
5 secretary of state.

6 (ii) If the estimated cost of repair, including parts and
7 labor, is equal to or more than 75% but less than 91% of the
8 predamaged actual cash value of the vehicle, apply for a salvage
9 certificate of title, and if the estimated cost of repair,
10 including parts and labor, is equal to or greater than 91% of the
11 predamaged actual cash value of the vehicle, apply for a scrap
12 certificate of title. The insurance company shall not sell the
13 vehicle without first receiving a salvage or scrap certificate of
14 title, which ~~shall~~**must** be assigned to the buyer. An insurance
15 company may assign a salvage or scrap certificate of the title only
16 to an automotive recycler, used or secondhand vehicle parts dealer,
17 foreign salvage vehicle dealer, **distressed vehicle transporter**, or
18 vehicle scrap metal processor.

19 (b) If after payment of a total loss claim the insurance
20 company permits the owner of the vehicle to retain ownership, the
21 insurance company shall do all of the following:

22 (i) If the estimated cost of repair, including parts and labor,
23 is equal to or greater than 75% but less than 91% of the predamaged
24 actual cash value of the vehicle, require each owner of the vehicle
25 to sign an application for a salvage certificate of title, or if
26 the estimated cost of repair, including parts and labor, is equal
27 to or greater than 91% of the predamaged actual cash value of the
28 vehicle, require each owner of the vehicle to sign an application
29 for a scrap vehicle certificate of title.



1 (ii) Attach the owner's certificate of title to the application
2 for a salvage or scrap certificate of title or have the owner
3 certify that the certificate of title is lost.

4 (iii) On behalf of the owner, apply to the secretary of state
5 for a salvage or scrap certificate of title in the name of the
6 owner. The owner shall not sell or otherwise dispose of the vehicle
7 without first receiving a salvage or scrap certificate of title,
8 which must be assigned to the buyer. An insurance company may
9 assign a salvage or scrap certificate of title only to an
10 automotive recycler, used or secondhand vehicle parts dealer,
11 foreign salvage vehicle dealer, or vehicle scrap metal processor.

12 (3) If an insurance company pays a claim for total loss to the
13 owner or lienholder of record as kept by the secretary of state, or
14 both, if applicable, of a vehicle but the owner or lienholder of
15 record as kept by the secretary of state fails to surrender the
16 certificate of title or other document necessary for the transfer
17 of ownership of the vehicle to the insurance company ~~within the~~
18 ~~expiration of~~ **not later than** 30 days after the claim payment, the
19 insurance company, without having obtained the surrender of the
20 title or other document otherwise necessary for the transfer of
21 ownership for the vehicle from the owner or lienholder of record as
22 kept by the secretary of state, or both, if applicable, may apply
23 to the secretary of state for a title as provided under this
24 section. The insurance company shall, at the time of application,
25 provide proof of the payment and that the insurance company has
26 requested in writing, by certified mail or by another commercially
27 available delivery service providing proof of delivery, on at least
28 2 separate occasions that the owner or lienholder of record as kept
29 by the secretary of state surrender to the insurance company the



1 certificate of title or other document necessary for the transfer
 2 of ownership to the insurance company. The application must be
 3 signed under the penalty of perjury. Subject to subsection
 4 (2) (a) (ii), ~~upon-on~~ meeting the requirements of this subsection, the
 5 secretary of state shall issue to the insurance company the
 6 appropriate certificate of title free of all liens. Proof of
 7 payment of the claim is satisfied only by 1 of the following:

8 (a) In the case of payment by check, either of the following:

9 (i) A copy of the front and back of the endorsed check.

10 (ii) Evidence that the check has cleared the account of the
 11 payer.

12 (b) In the case of payment by electronic transfer, evidence
 13 that the payment was charged to the account of the payer.

14 (4) Except as provided in subsection (3), if an insurance
 15 company acquires ownership of a vehicle other than a late model
 16 vehicle through payment of damages due to an accident, the company
 17 shall surrender a properly assigned title to the buyer ~~upon-on~~
 18 delivery.

19 (5) If a dealer acquires ownership of a late model vehicle
 20 that is a distressed vehicle from an owner, the dealer shall
 21 receive an assigned certificate of title. If the assigned
 22 certificate of title is not a salvage or scrap certificate of
 23 title, the dealer, other than a vehicle scrap metal processor,
 24 shall surrender the assigned certificate of title to the secretary
 25 of state, and, if the estimated cost of repair, including parts and
 26 labor, is equal to or greater than 75% but less than 91% of the
 27 predamaged actual cash value of the vehicle, apply for a salvage
 28 certificate of title, or if the estimated cost of repair, including
 29 parts and labor, is equal to or greater than 91% of the predamaged

1 actual cash value of the vehicle, apply for a scrap certificate of
 2 title ~~within 5~~ **not later than 10** days after the dealer receives the
 3 assigned certificate of title. The dealer may sell a salvage
 4 vehicle to ~~another~~ **an** automotive recycler, used or secondhand
 5 vehicle parts dealer, foreign salvage vehicle dealer, **distressed**
 6 **vehicle transporter**, or vehicle scrap metal processor by assigning
 7 the ~~salvage~~ certificate of title to the buyer. Unless the vehicle
 8 is rebuilt, inspected, and recertified under this section, if the
 9 vehicle is sold to a buyer other than a **licensed** dealer,
 10 application must be made for a salvage certificate in the name of
 11 the buyer in the manner provided in this act. The dealer may sell a
 12 scrap vehicle only to a vehicle scrap metal processor. A vehicle
 13 scrap metal processor shall surrender an assigned certificate of
 14 title to the secretary of state ~~within~~ **not later than** 30 days after
 15 acquiring a vehicle for which a certificate of title was received.
 16 A vehicle scrap metal processor shall surrender an assigned salvage
 17 or scrap certificate of title to the secretary of state ~~within~~ **not**
 18 **later than** 30 days after acquiring a vehicle for which a salvage or
 19 scrap certificate of title was received **and processed**, and report
 20 that the vehicle was destroyed or scrapped.

21 (6) An application for a scrap certificate of title must be
 22 made on a form prescribed by the secretary of state **and** accompanied
 23 by a fee of \$15.00. The application must contain all of the
 24 following:

- 25 (a) The complete name and current address of the owner.
- 26 (b) A description of the vehicle, including its make, style of
 27 body, model year, fee category or weight, color, and vehicle
 28 identification number.
- 29 (c) If the vehicle is a late model vehicle, a listing of each



1 major component part that was not salvageable.

2 (d) Further information as may reasonably be required by the
3 secretary of state.

4 (7) The scrap certificate of title must authorize the holder
5 of the document to transport but not drive on a highway the vehicle
6 or parts of a vehicle, and assign ownership to a vehicle scrap
7 metal processor, automotive recycler, used or secondhand vehicle
8 parts dealer, or foreign salvage vehicle dealer. A certificate of
9 title must not again be issued for this vehicle. A person shall not
10 rebuild or repair a scrap vehicle and allow it to retain the
11 original vehicle identification number.

12 (8) If a person, other than a dealer or insurance company that
13 is subject to subsection (2) or (5), acquires ownership of a
14 distressed, late model vehicle, the person must surrender the title
15 or assigned certificate of title to the secretary of state, and if
16 the estimated cost of repair, including parts and labor, is equal
17 to or greater than 75% but less than 91% of the predamaged actual
18 cash value of the vehicle, apply for a salvage certificate of
19 title, or if the estimated cost of repair, including parts and
20 labor, is equal to or greater than 91% of the predamaged actual
21 cash value of the vehicle, apply for a scrap certificate of title
22 before the vehicle may be transported.

23 (9) An owner of a vehicle may determine that a vehicle is a
24 scrap vehicle or a salvage vehicle without making any determination
25 as to the actual cash value of the vehicle.

26 (10) If a leasing company, vehicle manufacturer, insurance
27 company not licensed to do business in this state, association,
28 repossession company, self-insured owner, financial institution,
29 governmental entity, or other company, institution, or entity, owns



1 a distressed, late model vehicle, the titleholder shall surrender
2 the title or assigned certificate of title to the secretary of
3 state and apply for a salvage certificate of title if the retail
4 cost of repair, including parts and labor, is equal to or greater
5 than 75% but less than 91% of the predamaged actual cash value of
6 the vehicle, or if the retail cost of repair, including parts and
7 labor, is equal to or greater than 91% of the predamaged actual
8 cash value of the vehicle, apply for a scrap certificate of title,
9 before the vehicle may be transported or sold. If ownership is
10 transferred, the owner must sell the vehicle only to a dealer that
11 is eligible to buy a salvage or scrap vehicle in this state unless
12 the owner complies with subsection (13). When a leasing company,
13 vehicle manufacturer, insurance company not licensed to do business
14 in this state, association, repossession company, self-insured
15 owner, financial institution, governmental entity, or other
16 company, institution, or entity, estimates the repair of a
17 distressed, late model vehicle for the purpose of determining
18 whether to apply for a salvage or scrap certificate of title, a
19 complete record of the estimate and, if the vehicle is repaired
20 before a transfer of ownership, a complete record of the actual
21 cost of the repairs performed and who performed the repairs must be
22 maintained for a minimum of 5 years by the leasing company, vehicle
23 manufacturer, insurance company not licensed to do business in this
24 state, association, repossession company, self-insured owner,
25 financial institution, governmental entity, or other company,
26 institution, or entity. The estimates and repair records required
27 by this subsection must be available for unannounced inspections by
28 a law enforcement agency or a representative of the secretary of
29 state. The secretary of state may request a leasing company,



1 vehicle manufacturer, insurance company not licensed to do business
2 in this state, association, repossession company, self-insured
3 owner, financial institution, governmental entity, or other
4 company, institution, or entity to provide copies of title
5 documents, repair estimates, claims reports involving major
6 component parts, and actual cash value determination documents to
7 assist the secretary of state in monitoring compliance with this
8 act.

9 (11) An application for a salvage certificate of title must be
10 made on a form prescribed by the secretary of state **and** accompanied
11 by a fee of \$10.00. The application must contain all of the
12 following:

13 (a) The complete name and current address of the owner.

14 (b) A description of the vehicle, including its make, style of
15 body, model year, fee category or weight, color, and vehicle
16 identification number.

17 (c) An estimate of the cost repair, including parts and labor,
18 and an estimate of the predamaged actual cash value of the vehicle.

19 (d) If the vehicle is a late model vehicle, a listing of each
20 major component part that was not salvageable.

21 (e) Further information as may reasonably be required by the
22 secretary of state.

23 (12) The secretary of state shall issue and mail the salvage
24 certificate ~~within~~ **not later than** 5 business days after the time
25 the application is received at the secretary of state's office in
26 Lansing. Each salvage certificate of title must include a listing
27 of each major component part that was not salvageable.

28 (13) A salvage certificate of title authorizes the holder of
29 the title to possess, transport, but not drive on a highway, and



1 transfer ownership in, a vehicle. The secretary of state shall not
2 issue a certificate of title or registration plates for a vehicle
3 for which a salvage certificate of title was issued unless a
4 specially trained officer described in subsection (15) certifies
5 all of the following:

6 (a) That the vehicle identification numbers and parts
7 identification numbers are correct.

8 (b) That the applicant has proof of ownership of repair parts
9 used.

10 (c) That the vehicle complies with the equipment standards of
11 this act.

12 (d) That any repairs performed on the vehicle were done in a
13 workmanlike manner, as certified on a form provided by the
14 department by a properly licensed mechanic in the appropriate
15 specialty. A properly licensed mechanic ~~described in~~**under** this
16 subdivision must not be the same individual as the specially
17 trained officer making the certification of the vehicle as required
18 under this subsection.

19 (14) The certification required by subsection (13) must be
20 made on a form prescribed and furnished by the secretary of state
21 in conjunction with the department of state police and must
22 accompany the application that is submitted to the secretary of
23 state for a certificate of title. An application for a certificate
24 of title must contain a description of each salvageable part used
25 to repair the vehicle and any identification number affixed to or
26 inscribed on the part as required by state or federal law. ~~Upon~~**On**
27 satisfactory completion of the inspection as required by the
28 secretary of state and other requirements for application, the
29 secretary of state shall issue a certificate of title for the



1 vehicle bearing the legend "rebuilt salvage".

2 (15) An officer specially trained as provided by the secretary
3 of state and authorized by the secretary of state to conduct a
4 salvage vehicle inspection is any of the following:

5 (a) An employee of the department of state.

6 (b) An on-duty or off-duty police officer.

7 (c) A previously certified police officer who is appointed by
8 the local police agency as a limited enforcement officer to conduct
9 salvage vehicle inspections. The local police agency shall give
10 this officer access to the agency's law enforcement information
11 network system and the authority to confiscate any stolen vehicle
12 or vehicle parts discovered during an inspection. The local police
13 agency may give the officer the authority to arrest a person
14 suspected of having unlawful possession of a stolen vehicle or
15 vehicle parts. The local police agency shall not appoint a
16 previously certified police officer whose certificate has been
17 suspended, revoked, or denied under subsection (16).

18 (16) The secretary of state shall issue a certificate to an
19 officer who is specially trained as provided by the secretary of
20 state to conduct salvage vehicle inspections. Only a person who has
21 a valid certification from the secretary of state may perform
22 salvage inspections. The secretary of state on the secretary of
23 state's own initiative or in response to complaints shall make
24 reasonable and necessary public or private investigations within or
25 outside of this state and gather evidence against an officer who
26 was issued a certificate and who violated or is about to violate
27 this act or a rule promulgated under this act. Subject to
28 subsection (17), the secretary of state may suspend, revoke, or
29 deny a certificate after an investigation if the secretary of state



1 determines that the officer committed 1 or more of the following:

2 (a) Violated this act or a rule promulgated under this act.

3 (b) Was, after an investigation, found responsible for a
4 fraudulent act in connection with the inspection, purchase, sale,
5 lease, or transfer of a salvage vehicle.

6 (c) Was found guilty of the theft, embezzlement, or
7 misappropriation of salvage vehicle inspection fees.

8 (d) Performed improper, careless, or negligent salvage vehicle
9 inspections.

10 (e) Ceased to function as a police officer because of
11 suspension, retirement, dismissal, disability, or termination of
12 employment.

13 (f) Was convicted of a violation or attempted violation of
14 1986 PA 119, MCL 257.1351 to 257.1355.

15 (g) Made a false statement of a material fact in the officer's
16 certification of a salvage vehicle inspection or any record
17 concerning a salvage vehicle inspection.

18 (h) Charged a fee in excess of the fee described in subsection
19 (26).

20 (17) If the secretary of state revokes, suspends, or denies a
21 certificate under subsection (16)(a), (d), (g), or (h), the
22 secretary of state shall, at the time of revocation, suspension, or
23 denial, notify the officer and the law enforcement agency on behalf
24 of which the officer is performing inspections of the law
25 enforcement agency's right to appeal the revocation, suspension, or
26 denial. The notification must include a statement that a request
27 for an appeal under this subsection must be made no later than 30
28 days after the revocation, suspension, or denial. An agency making
29 an appeal under this subsection may request a hearing at the time



1 the appeal is made. The secretary of state or any person designated
 2 by the secretary of state to act in the secretary of state's place
 3 shall deny or grant an appeal made under this subsection within a
 4 reasonable period, in writing or stated in the record if a hearing
 5 is held. If the secretary of state revokes a certificate under
 6 subsection (16)(a), (d), (g), or (h) and denies an appeal of the
 7 revocation under this subsection, the officer may apply for a new
 8 certificate no earlier than 5 years after the revocation.

9 (18) ~~Upon~~**On** receipt of the appropriate abstract of conviction
 10 from a court and without any investigation, the secretary of state
 11 shall immediately revoke the certificate of an officer who has been
 12 convicted of a violation or attempted violation of section 413,
 13 414, 415, 535, 535a, or 536a of the Michigan penal code, 1931 PA
 14 328, MCL 750.413, 750.414, 750.415, 750.535, 750.535a, and
 15 750.536a, or has been convicted in federal court or in another
 16 state of a violation or attempted violation of a law substantially
 17 corresponding to 1 of those sections.

18 (19) If a dealer, **other than a vehicle scrap metal processor,**
 19 acquires ownership of ~~an older model~~**a** vehicle from an owner, the
 20 dealer ~~shall~~**must** receive an assigned certificate of title and
 21 shall retain it as long as the dealer retains the vehicle. **If a**
 22 **vehicle scrap metal processor acquires ownership of a vehicle from**
 23 **an owner who is not a licensed dealer, the vehicle scrap metal**
 24 **processor must receive an assigned certificate of title and shall**
 25 **retain the certificate of title until surrendered to the secretary**
 26 **of state under this subsection.** A vehicle scrap metal processor,
 27 **used or secondhand vehicle parts dealer, distressed vehicle**
 28 **transporter, or automotive recycler** shall surrender an assigned
 29 certificate of title to the secretary of state ~~within 30 days after~~



the vehicle is destroyed or scrapped, as required under this subsection. A vehicle scrap metal processor shall surrender an assigned certificate of title not later than 30 days after processing the vehicle. If an automotive recycler, used or secondhand parts dealer, used vehicle dealer, distressed vehicle transporter, or foreign salvage vehicle dealer sells or assigns a vehicle to a vehicle scrap metal processor, the seller or assignor shall surrender the certificate of title to the secretary of state not later than 30 days after the vehicle is sold or assigned as required under subsection (20).

(20) A dealer selling or assigning a vehicle to a vehicle scrap metal processor shall make a record in a format determined by the secretary of state. ~~triplicate on a form to be provided by the secretary of state in substantially the following form:~~

~~Scrap Vehicle Inventory:~~

~~SELLER:~~ Dealer name _____
 Dealer address _____
 Dealer license number _____
~~PURCHASER:~~ Conveyed to: _____ Date _____
 (Vehicle scrap metal processor)
 Dealer address _____
 Dealer license number _____

~~Vehicles~~

~~Dealer's~~
~~Stock~~

Model Year	Vehicle Make	VIN	Title Number	Number	Color
1. _____	_____	_____	_____	_____	_____
2. _____	_____	_____	_____	_____	_____
3. _____	_____	_____	_____	_____	_____



1 ~~ete.~~

2 ~~One copy must be retained as a permanent record by the dealer,~~
 3 ~~1 copy must be forwarded with the vehicle to be retained by the~~
 4 ~~vehicle scrap metal processor, and 1 copy must be forwarded to the~~
 5 ~~secretary of state.~~ **The purchasing dealer's name noted on the record**
 6 **must correspond to the name of the assignee on the title submitted**
 7 **by the selling dealer provided under subsection (19). The record**
 8 **must include, but is not limited to, all of the following**
 9 **information:**

10 (a) **The dealer's name, address, and license number.**

11 (b) **The scrap metal processor's name, address, and license**
 12 **number.**

13 (c) **The date of the transaction.**

14 (d) **The vehicle's year, make, vehicle identification number,**
 15 **title number, dealer stock number, and color.**

16 (21) A person, other than an automotive recycler, used or
 17 secondhand vehicle parts dealer, **distressed vehicle transporter**, or
 18 ~~a~~ foreign salvage **vehicle** dealer, receiving a salvage certificate
 19 of title shall not sell the vehicle to anyone other than 1 of the
 20 following:

21 (a) The vehicle's former owner.

22 (b) A used or secondhand vehicle parts dealer.

23 (c) A vehicle scrap metal processor.

24 (d) A foreign salvage vehicle dealer licensed under this act.

25 (e) An automotive recycler.

26 **(f) A distressed vehicle transporter.**

27 (22) A person receiving a scrap certificate of title shall not
 28 sell the vehicle to anyone other than 1 of the following:

29 (a) An automotive recycler.



1 (b) A vehicle scrap metal processor.

2 (c) A foreign salvage vehicle dealer licensed under this act.

3 (d) A used or secondhand vehicle parts dealer.

4 **(e) A distressed vehicle transporter.**

5 (23) The secretary of state may conduct periodic reviews of
6 the records of a dealer to determine whether adequate notice is
7 given to a transferee or lessee of a rebuilt salvage vehicle of
8 that vehicle's prior designation as a salvage vehicle. The
9 secretary of state may request an insurance company to provide
10 copies of salvage title documents and claims reports involving
11 major component parts to assist the secretary of state in
12 monitoring compliance with this act.

13 (24) A licensed automotive recycler, used or secondhand
14 vehicle parts dealer, vehicle scrap metal processor, vehicle
15 salvage pool operator, distressed vehicle transporter, foreign
16 salvage vehicle dealer, or broker that has removed a scrap vehicle
17 from this state for the purpose of rebuilding the vehicle or
18 selling or leasing the vehicle to a person other than a vehicle
19 scrap metal processor, shall receive an automatic suspension of its
20 dealer license and of any salvage vehicle agent's license assigned
21 to that dealer for a period of 30 days. ~~Upon~~**On** receipt by the
22 secretary of state of a written request from the dealer, the dealer
23 shall have the right to an immediate hearing on the matter within
24 that 30-day period.

25 (25) For the purpose of this section, the estimated costs of
26 the repair parts must be determined by using the current published
27 retail cost of original manufacturer equipment parts or an estimate
28 of the actual cost of the repair parts. The estimated labor costs
29 must be computed by using the hourly rate and time allocations that



1 are reasonable and commonly assessed in the repair industry in the
2 community where the repairs are performed.

3 (26) A police agency shall charge a fee for an inspection of a
4 vehicle under subsection (13). Each local authority with a police
5 agency shall determine the amount of the fee for inspections by
6 that police agency, ~~that~~ **but the fee** must not exceed ~~\$100.00.~~
7 **\$125.00.** Except as otherwise provided in this subsection, a fee
8 collected under this subsection must be deposited with the local
9 authority for that police agency. The records of the local
10 authority regarding the collection and disposition of inspection
11 fees is subject to review or audit by the local unit of government
12 and must be made available ~~upon~~ **on** request to the department. If an
13 inspection was conducted by an employee of the department of state,
14 the fee must be deposited with the department of state. A fee
15 collected by a local authority must be used for law enforcement
16 purposes. ~~related to stolen vehicles, including, but not limited~~
17 ~~to, equipment and road patrol services that increase the likelihood~~
18 ~~of recovering stolen vehicles or stolen vehicle parts, and salvage~~
19 ~~vehicle inspections.~~ A fee collected by the department of state
20 must be used by the department for the administration of the
21 salvage vehicle inspection program and must not lapse to the
22 general fund. A local police agency may compensate an off-duty and
23 limited enforcement police officer for a salvage vehicle
24 inspection.

25 (27) For the purpose of this section, "actual cash value"
26 means the retail dollar value of a vehicle as determined by an
27 objective vehicle evaluation using local market resources such as
28 dealers or want ads or by an independent vehicle evaluation or
29 vehicle appraisal service or by a current issue of a nationally



1 recognized used vehicle guide for financial institution appraisal
2 purposes in this state.

3 Sec. 233. (1) If the owner of a registered vehicle transfers
4 or assigns the title or interest in the vehicle, the registration
5 plates issued for the vehicle ~~shall~~**must** be removed and transferred
6 to the owner's spouse, mother, father, sister, brother, or child to
7 whom title or interest in the vehicle is transferred, or retained
8 and preserved by the owner for transfer to another vehicle ~~upon~~**on**
9 application and payment of the required fees. A person shall not
10 transfer the plates to a vehicle without applying for a proper
11 certificate of registration describing the vehicle to which the
12 plates are being transferred, except as provided in section 217(4).
13 If the owner of a registered vehicle acquires another vehicle
14 without transferring or assigning the title or interest in the
15 vehicle for which the plates were issued, the owner may have the
16 plates transferred to the subsequently acquired vehicle ~~upon~~**on**
17 application and payment of the required fees.

18 (2) A person shall not purchase or lease another vehicle or an
19 interest in another vehicle with the intent to circumvent the
20 restrictions created by immobilization of a vehicle under this act.

21 (3) A person shall not transfer or attempt to transfer
22 ownership or right of possession of a vehicle subject to forfeiture
23 or ordered forfeited under this act with the intent to avoid the
24 forfeiture of that vehicle.

25 (4) During the time a vehicle is subject to a temporary
26 registration plate, vehicle forfeiture, immobilization,
27 registration denial, or the period from adjudication to
28 immobilization or forfeiture under this act, a person shall not
29 without a court order transfer or assign the title or an interest



1 in the vehicle to a person ~~who~~**that** is not subject to payment of a
 2 use tax under section 3 of the use tax act, 1937 PA 94, MCL 205.93.

3 (5) A person ~~who~~**that** violates subsection (2), (3), or (4) is
 4 guilty of a misdemeanor punishable by imprisonment for not more
 5 than 1 year or a fine of not more than \$1,000.00, or both.

6 (6) ~~A person~~**An individual** whose operator's or chauffeur's
 7 license is suspended, revoked, or denied for, or who has never been
 8 licensed by this state and was convicted for, a third or subsequent
 9 violation of section 625 or 625m, of a local ordinance
 10 substantially corresponding to section 625 or 625m, or of a law of
 11 another state substantially corresponding to section 625 or 625m,
 12 or for a fourth or subsequent suspension or revocation under
 13 section 904 shall not purchase, lease, or otherwise acquire a motor
 14 vehicle during the suspension, revocation, or denial period. ~~A~~
 15 ~~person~~**An individual** who violates this subsection is guilty of a
 16 misdemeanor punishable by imprisonment for not more than 93 days or
 17 a fine of not more than \$100.00, or both.

18 (7) If the assigned holder of registration plates applies for
 19 a new registration certificate, the application ~~shall~~**must** be
 20 accompanied either by the old registration certificate or by a
 21 certificate of title showing the person to be the assigned holder
 22 of the registration plates for which the old registration
 23 certificate had been issued. A person ~~who~~**that** fails or neglects to
 24 fulfill the requirements of this subsection is guilty of a
 25 misdemeanor punishable by imprisonment for not more than 93 days or
 26 a fine of not more than \$100.00, or both.

27 (8) ~~The~~**Except for a title issued electronically under section**
 28 **222, the** owner shall ~~indorse~~**endorse** on the certificate of title as
 29 required by the secretary of state an assignment of the title with



1 warranty of title in the form printed on the certificate with a
2 statement of all security interests in the vehicle or in
3 accessories on the vehicle and deliver or cause the certificate to
4 be mailed or delivered to the purchaser or transferee at the time
5 of the delivery to the purchaser or transferee of the vehicle. The
6 certificate ~~shall~~**must** show the payment or satisfaction of any
7 security interest as shown on the original title. However, as
8 provided under section 238, the secretary of state is not required
9 to issue a title to the owner of a vehicle if the title is subject
10 to a security interest.

11 (9) ~~Upon~~**On** the delivery of a motor vehicle and the transfer,
12 sale, or assignment of the title or interest in a motor vehicle by
13 a person, including a dealer, the effective date of the transfer of
14 title or interest in the vehicle is the date of signature on either
15 the application for title or the assignment of the certificate of
16 title by the purchaser, transferee, or assignee.

17 (10) A secured receipt that is in a form approved by the
18 department and produced at the time the secured interest is
19 presented with payment in satisfaction of the security interest may
20 be submitted to the department in lieu of the title for purposes of
21 transferring ownership in the vehicle.

22 Sec. 233a. (1) Except as otherwise provided in subsection
23 (17), if the owner of a registered motor vehicle transfers the
24 owner's title or interest in that vehicle, the transferor shall
25 present to the transferee before delivery of the vehicle, written
26 disclosure of odometer mileage by means of the certificate of title
27 or a written statement signed by the transferor including the
28 transferor's printed name, containing all of the following:

29 (a) The odometer reading at the time of transfer, not



1 including the tenths of a mile or kilometer.

2 (b) The date of transfer.

3 (c) The transferor's name and current address.

4 (d) The transferee's name and current address.

5 (e) The identity of the vehicle, including its make, model,
6 body type, year, and vehicle identification number.

7 (f) A reference to this section and comparable federal law,
8 and a statement that failing to complete the title or form or
9 providing false information may result in civil liability and civil
10 or criminal penalties being imposed on the transferor.

11 (g) One of the following:

12 (i) A statement by the transferor certifying that to the best
13 of the transferor's knowledge the odometer reading reflects the
14 actual mileage of the vehicle.

15 (ii) If the transferor knows that the odometer reading reflects
16 the amount of mileage in excess of the designed mechanical odometer
17 limit, a statement to that effect.

18 (iii) If the transfer knows that the odometer reading differs
19 from the mileage and the difference is greater than that caused by
20 odometer calibration error, a statement that the odometer reading
21 does not reflect the actual mileage and should not be relied on.
22 This notice must include a warning notice to alert the transferee
23 that a discrepancy exists between the odometer and the actual
24 mileage.

25 (h) Space for the signature and printed name of the
26 transferee, and the date of presentation to the transferee.

27 (2) A certificate of title and a dealer reassignment form must
28 contain a place for the information required by subsection (1)(a)
29 to (h). If the vehicle is not titled or the title does not contain



1 a space for the required information, a written statement must be
2 provided as a separate document.

3 (3) A dealer selling or exchanging vehicles required to be
4 titled under this act shall present the certificate of title or
5 written statement and any reassigned titles in the dealer's
6 possession to the transferee. The transferee or the transferee's
7 agent shall inspect, print the transferee's or transferee's agent's
8 name on, sign, and date the certificate or statement and return it
9 to the transferor for submission to the secretary of state. If
10 neither the transferee nor transferor is a dealer licensed under
11 this act, completing the odometer information on the certificate of
12 title must be considered to comply with subsection (1). A person
13 shall not sign an odometer disclosure statement as both the
14 transferor and transferee in the same transaction.

15 (4) A new or used vehicle dealer shall obtain from the
16 transferor a completed odometer mileage statement that meets the
17 requirements of subsection (1) with each motor vehicle acquired by
18 the dealer. Except as provided in subsection (16), the dealer shall
19 not accept or provide an odometer mileage statement or a title that
20 contains a place for odometer information that has not been
21 completely filled in by the transferor.

22 (5) The odometer information described in subsection (1) must
23 not be required for any of the following:

24 (a) Vehicles having a gross vehicle weight rating of more than
25 16,000 pounds.

26 (b) A vehicle that is not self-propelled.

27 (c) A vehicle manufactured in or before the 2010 model year
28 that is transferred at least 10 years after January 1 of the
29 calendar year that is included in the model year in which the



1 vehicle is manufactured.

2 (d) A vehicle manufactured in or after the 2011 model year
3 that is transferred at least 20 years after January 1 of the
4 calendar year that is included in the model year in which the
5 vehicle was manufactured.

6 (e) A new vehicle transferred from a manufacturer to a dealer.

7 (f) A vehicle sold directly by the manufacturer to an agency
8 of the United States in conformity with contractual specifications.

9 (g) A low-speed vehicle.

10 (h) A scrap vehicle.

11 (6) A person shall not alter, set back, or disconnect an
12 odometer; cause or allow an odometer to be altered, set back, or
13 disconnected; or advertise for sale, sell, use, install, or cause
14 or allow to be installed a device which causes an odometer to
15 register other than the actual mileage driven. This subsection does
16 not prohibit the service, repair, or replacement of an odometer if
17 the mileage indicated on the odometer remains the same as before
18 the service, repair, or replacement. If the odometer is incapable
19 of registering the same mileage as before the service, repair, or
20 replacement, the odometer must be adjusted to read zero and a
21 notice in writing must be attached to the left door frame of the
22 vehicle by the owner or the owner's agent specifying the mileage
23 prior to service, repair, or replacement of the odometer and the
24 date on which it was serviced, repaired, or replaced. A person
25 shall not remove, deface, or alter any notice affixed to a motor
26 vehicle under this subsection.

27 (7) A person who violates subsection (6) is guilty of a
28 felony.

29 (8) Before executing a transfer of ownership document, a



1 lessor of a leased vehicle shall notify the lessee in writing that
 2 ownership of the vehicle is being transferred and that the lessee
 3 is required to provide a written statement to the lessor regarding
 4 the mileage of the vehicle. This notice must inform the lessee of
 5 the penalties for failure to comply with the requirement.

6 (9) ~~Upon~~**On** receiving notification from the lessor of a leased
 7 vehicle that ownership of the vehicle is to be transferred, the
 8 lessee shall furnish to the lessor a written statement regarding
 9 the mileage of the vehicle. This statement must be signed by the
 10 lessee and must contain all of the following:

11 (a) The printed name of the person making the statement.

12 (b) The current odometer reading, not including tenths of
 13 miles.

14 (c) The date of the statement.

15 (d) The lessee's name and current address.

16 (e) The lessor's name and current address.

17 (f) The identity of the vehicle, including its make, model,
 18 year, body type, and vehicle identification number.

19 (g) The date that the lessor notified the lessee of the
 20 requirements of this subsection.

21 (h) The date that the completed disclosure statement was
 22 received by the lessor.

23 (i) The signature of the lessor.

24 (j) One of the following:

25 (i) A statement by the lessee certifying that to the best of
 26 the lessee's knowledge the odometer reading reflects the actual
 27 mileage of the vehicle.

28 (ii) If the lessee knows that the odometer reading reflects the
 29 amount of mileage in excess of the designed mechanical odometer

1 limit, a statement to that effect.

2 (iii) If the lessee knows that the odometer reading differs from
3 the mileage and that the difference is greater than that caused by
4 odometer calibration error, a statement that the odometer reading
5 is not the actual mileage and should not be relied on.

6 (10) If the lessor transfers a leased vehicle without
7 obtaining possession of the vehicle, the lessor may indicate on the
8 certificate of title the mileage disclosed by the lessee under
9 subsection (9), unless the lessor has reason to believe that the
10 mileage disclosed by the lessee does not reflect the actual mileage
11 of the vehicle.

12 (11) A dealer that is required by this section to execute an
13 odometer mileage statement shall retain for 5 years a photostatic,
14 carbon, or other facsimile copy of each odometer mileage statement
15 the dealer issues or receives. The dealer shall retain the odometer
16 mileage statements at the dealer's primary place of business in an
17 order that is appropriate to business requirements and that permits
18 systematic retrieval.

19 (12) A lessor shall retain, for 5 years following the date of
20 transfer of ownership of each leased vehicle, the odometer mileage
21 statement received from the lessee. The lessor shall retain the
22 odometer mileage statements at the lessor's primary place of
23 business in an order that is appropriate to business requirements
24 and that permits systematic retrieval.

25 (13) An auction dealer or vehicle salvage pool operator shall
26 establish and retain at the auction dealer's or vehicle salvage
27 pool operator's primary place of business in an order that is
28 appropriate to business requirements and that permits systematic
29 retrieval, for 5 years following the date of sale of each motor



1 vehicle, the following records:

2 (a) The name and the most recent owner, other than the auction
3 dealer or salvage pool operator.

4 (b) The name of the buyer.

5 (c) The vehicle identification number.

6 (d) The odometer reading, not including the tenths of a mile,
7 on the date the auction dealer or salvage pool operator took
8 possession of the motor vehicle.

9 (14) A violation of subsection (1) or (6) by any dealer
10 licensed under this act is prima facie evidence of a fraudulent act
11 as provided in section 249.

12 (15) A person who, with intent to defraud, violates any
13 requirement under subsection (1) or (6), or a dealer that fails to
14 retain for 5 years each odometer mileage statement the dealer
15 receives and each odometer mileage statement furnished by the
16 dealer ~~upon~~**on** the sale of a vehicle, is liable in an amount equal
17 to 3 times the amount of actual damages sustained or \$1,500.00
18 whichever is greater, and in the case of a successful recovery of
19 damages, the costs of the action together with reasonable attorney
20 fees.

21 (16) For the purposes of this section **and beginning not later**
22 **than July 1, 2026,** the department ~~may~~**shall** accept an
23 electronically signed odometer disclosure document ~~that complies~~
24 ~~with all of the following:~~**from a new vehicle dealer or a used or**
25 **secondhand vehicle dealer approved by the department.**

26 ~~(a) Is submitted on a form that is approved by the department.~~

27 ~~(b) Is electronically signed using software that provides~~
28 ~~antitamper and identification verification technology and is~~
29 ~~approved for this use by the department.~~



~~(c) Is otherwise fully compliant with 49 CFR part 580.~~

(17) The department may establish, implement, and operate an electronic system to process the notification and transfer of a vehicle ownership interest between private parties through an electronic transfer instead of the collection of paper documents otherwise required under this act. If the electronic system is established, a private party that uses the electronic system shall comply with any requirement of this section that the department determines is necessary and provide any information that is required by the department. The department may enter into 1 or more contracts to establish, implement, and operate the electronic system under this subsection. The contract must require the protection of proprietary information contained in the electronic system and other information as protected under this act.

(18) As used in this section, "private parties" means that both a vehicle's buyer and seller are not a dealer.

Sec. 233b. (1) As used in this section:

(a) "Distributor" means that term as defined in section 3(1) of **the motor vehicle franchise act**, 1981 PA 118, MCL 445.1563.

(b) "Manufacturer" means that term as defined in section ~~4(2)~~ **4(5)** of **the motor vehicle franchise act**, 1981 PA 118, MCL 445.1564.

(c) "Program vehicle" means a motor vehicle from either the current model year or the immediately preceding model year, that was repurchased by a manufacturer or distributor from a rental car company.

(2) Except as provided in this subsection, a new motor vehicle dealer shall disclose in writing to a purchaser or lessee of a new motor vehicle, demonstrator, **courtesy transportation vehicle**, executive or manufacturer's vehicle, or program vehicle before



entering into a sales contract or lease agreement that, after the vehicle completed the manufacturing process, the vehicle was damaged and repaired, including an itemization of repairs, if the dealer has knowledge of the damage and repairs and if the cost of the cumulative repairs, as calculated at the rate of the dealer's authorized warranty rate for labor and parts exceeds either 1 of the following:

(a) Five percent of the manufacturer's suggested retail price of the vehicle.

(b) ~~Seven hundred fifty~~ **One thousand five hundred** dollars in surface coating repairs or corrosion protection restoration or a combination of these items. If a new motor vehicle dealer fails to comply with this subsection, the purchaser or lessee shall retain all applicable remedies available under article 2 of the uniform commercial code, 1962 PA 174, MCL 440.2101 to 440.2725.

(3) A dealer in new motor vehicles is not required to disclose to a purchaser or lessee under this act that any glass, tires, wheels, bumpers, audio equipment, in-dash components, or components contained in the living quarters of a motor home that are not required for the operation of the motor home as a motor vehicle were damaged at any time if the damaged item has been replaced with original manufacturer's parts and material.

(4) Repaired damage to a motor vehicle, subject to this section, not exceeding the cost of cumulative repairs as determined pursuant to subsection (2) ~~shall is not constitute~~ grounds for revocation of acceptance by the purchaser or lessee. The right of revocation ceases upon the purchaser's or lessee's acceptance of delivery of the vehicle.

Sec. 234. (1) ~~The~~ **Except for a title issued electronically**



1 **under section 222, if a** purchaser or transferee, unless the person
 2 is a licensed dealer, ~~shall present or cause~~ **presents or causes** to
 3 be presented the certificate of title and registration certificate
 4 if plates are being transferred to another vehicle, assigned as
 5 provided in this act, to the secretary of state ~~accompanied by~~ **with**
 6 the fees as provided by law, ~~whereupon~~ a new certificate of title
 7 and registration certificate ~~shall~~ **must** be issued to the assignee.
 8 The certificate of title ~~shall~~ **must** be mailed or delivered to the
 9 owner or another person the owner may direct in a separate
 10 instrument in a form **prescribed by** the secretary of state. ~~shall~~
 11 ~~prescribe.~~

12 (2) If the secretary of state mails or delivers a purchaser's
 13 or transferee's certificate of title to a dealer, the dealer shall
 14 mail or deliver that certificate of title to the purchaser or
 15 transferee not more than 5 days after receiving the certificate of
 16 title. ~~from the secretary of state.~~

17 (3) Unless the transfer is made and the ~~fee~~ **fees are** paid
 18 within ~~15~~ **21** days, the vehicle is considered to be without
 19 registration, the secretary of state may repossess the license
 20 plates, and transfer of the vehicle ownership may be effected and a
 21 valid registration acquired ~~thereafter only upon~~ **after** payment of a
 22 transfer fee of ~~\$15.00~~ **\$50.00** in addition to the ~~fee~~ **fees** provided
 23 for in section 806.

24 (4) If a security interest is reserved or created at the time
 25 of the transfer, the parties shall comply with the requirements of
 26 section 238.

27 Sec. 235. (1) If the transferee of a vehicle is a new motor
 28 vehicle dealer or a used or secondhand vehicle dealer that acquires
 29 the vehicle for resale, the dealer is not required to obtain a new



1 registration of the vehicle or forward the certificate of title to
 2 the secretary of state, but shall retain and have in the dealer's
 3 immediate possession, or, ~~upon~~ **on** providing prior written notice to
 4 the department and receiving the department's approval ~~within~~ **not**
 5 **later than** 7 business days after the department receives the
 6 written notice, at a secondary location owned by the dealer that is
 7 located within a 15-mile radius, the assigned certificate of title
 8 with the odometer information properly completed, except **for a**
 9 **title issued electronically under section 222, or** as otherwise
 10 provided in section 235b. A dealer shall obtain a certificate of
 11 title for a vehicle that has a salvage certificate of title before
 12 the dealer may operate the vehicle under dealer's license plates.
 13 Upon transferring title or interest to another person that is not a
 14 dealer, the dealer shall complete an assignment and warranty of
 15 title ~~upon~~ **on** the certificate of title, salvage certificate of
 16 title, or dealer reassignment of title form and apply for a
 17 registration and a new title as provided in section 217(4).

18 (2) The dealer or transferee is liable for all damages arising
 19 from the operation of the vehicle while the vehicle is in the
 20 dealer's or transferee's possession.

21 (3) ~~Upon~~ **Except for a title issued electronically under**
 22 **section 222, on** transferring title or interest to another dealer,
 23 the dealer shall complete an assignment and warranty of title on
 24 the certificate of title, salvage certificate of title, or dealer
 25 reassignment of title form and deliver it to the licensed dealer
 26 receiving the transfer.

27 (4) The secretary of state shall prescribe the dealer
 28 reassignment of title form. The form must contain the title number
 29 of the accompanying title; the name, address, and, if applicable,



1 dealer license number of the transferee; the year, make, model,
2 body type, and vehicle identification number of the vehicle; the
3 name, address, dealer number, and signature of the transferor; an
4 odometer mileage statement as prescribed under section 233a; and
5 any other information the secretary of state requires.

6 (5) This section does not prohibit a dealer from selling a buy
7 back vehicle while the certificate of title is in the possession of
8 a manufacturer that obtained the certificate of title under the
9 manufacturer's buy back vehicle program. The manufacturer shall
10 mail the certificate of title to the dealer ~~within~~ **not later than** 5
11 business days after the manufacturer's receipt of a signed
12 statement from the purchaser of the vehicle acknowledging the
13 purchaser was informed by the dealer that the manufacturer acquired
14 title to the vehicle as the result of an arbitration proceeding,
15 under a customer satisfaction policy adopted by the manufacturer,
16 or under 1986 PA 87, MCL 257.1401 to 257.1410, or a similar law of
17 another state.

18 (6) This section does not prohibit a dealer from selling an
19 off lease vehicle while the certificate of title is in the
20 possession of a lessor. The lessor shall mail the certificate of
21 title to the dealer ~~within~~ **not later than** 21 days after the lessor
22 receives the purchase price of the vehicle and any other fees and
23 charges due under the lease.

24 Sec. 238. (1) When an owner named in a certificate of title
25 creates a security interest in the vehicle described in the
26 certificate or in any accessory on the vehicle, all of the
27 following apply:

28 (a) The owner shall immediately execute an application in the
29 form prescribed by the department to name the holder of the



1 security interest on the certificate of title, showing the name and
2 address of the holder and deliver the certificate of title,
3 application, and the required fee together with a copy of the
4 application, to the holder of the security interest.

5 (b) The holder of the security interest shall cause the
6 certificate of title, application, and fee and the copy of the
7 application to be mailed or delivered to the department.

8 (c) The department shall indicate on the copy of the
9 application the date and place of filing of the application.

10 (d) ~~Upon~~**On** receipt of the certificate of title, application,
11 and the required fee, the department shall issue a new certificate
12 in the form provided by section 222 setting forth the name and
13 address of each holder of a security interest in the vehicle or in
14 any accessory on the vehicle for which a termination statement has
15 not been filed and the date on which the application first stating
16 the security interest was filed, and mail the certificate to the
17 owner. However, as provided under this section, the secretary of
18 state is not required to issue a title to the owner of a vehicle if
19 the title is subject to a security interest.

20 (2) A holder of any kind of a security interest may assign,
21 absolutely or otherwise, the holder's security interest in the
22 vehicle or any accessory ~~thereon~~**on the vehicle** to a person other
23 than the owner without affecting the interest of the owner or the
24 validity of the security interest, but any person without notice of
25 the assignment is protected in dealing with the holder of the
26 security interest as the holder ~~thereof~~**of the security interest**.

27 (3) **If a person rejects the assignment or the purchase of a**
28 **motor vehicle lease agreement or installment sale contract or, at**
29 **any time after accepting the assignment or purchase of a motor**



1 vehicle lease agreement or installment sale contract, the person
2 subsequently reassigns or transfers the motor vehicle lease
3 agreement or installment sale contract to the licensed dealer or
4 installment seller after a security interest is identified on the
5 application for title or the title for the vehicle, the person
6 shall provide written notice to the licensed dealer or installment
7 seller that the person does not retain a security interest or that
8 it has returned the security interest in the vehicle to the
9 licensed dealer or installment seller. If a written notice is
10 accompanied by a properly completed application for title, the
11 department of state shall accept the written notice from the person
12 and promptly issue a new title identifying the licensed dealer or
13 installment seller as the secured party on the title to the
14 vehicle.

15 (4) ~~(3)~~—The assignee of a security interest may have the
16 certificate of title indorsed with the assignee named as the holder
17 of the security interest by providing the department with a copy of
18 the assignment instrument, but the failure of the assignee to do so
19 ~~shall~~**does** not affect the validity of the security interest of that
20 assignment.

21 (5) ~~(4)~~—If there is no outstanding obligation and no
22 commitment to make advances, incur obligations, or otherwise give
23 value secured or to be secured by a security interest in a vehicle
24 or an accessory on the vehicle, for which the certificate of title
25 is in possession of a secured party, the secured party may, not
26 more than 14 days after satisfaction of the obligation, execute a
27 termination statement in the form prescribed by the department and
28 mail or deliver the termination statement to the owner or another
29 person as the owner may direct.



1 (6) ~~(5)~~—If there is no outstanding obligation and no
 2 commitment to make advances, incur obligations, or otherwise give
 3 value secured or to be secured by a security interest in a vehicle
 4 or an accessory on the vehicle, for which the certificate of title
 5 is in the possession of another person, the secured party shall,
 6 within 14 days after demand but not more than 30 days after demand,
 7 execute a termination statement in the form prescribed by the
 8 department and mail or deliver the termination statement to the
 9 owner or another person as the owner may direct.

10 (7) ~~(6)~~—The department may require that all transactions
 11 concerning vehicle title liens and security interests be conducted
 12 by electronic means, as determined by the department. After all
 13 liens have been terminated, or for purposes of retitling the
 14 vehicle in another state or any other purpose deemed appropriate by
 15 the department, the department may issue a paper copy of the
 16 vehicle title to the vehicle's owner.

17 (8) ~~(7)~~—A vehicle sale transaction in which a security
 18 interest is entered by electronic means ~~shall~~**must** include a
 19 document recording entry of the electronic security interest and
 20 information regarding the financial institution that holds the
 21 security interest. At the time a security interest is presented
 22 with payment in satisfaction of the security interest, a secured
 23 receipt in a form approved by the department and produced at the
 24 time the security interest is presented with payment in
 25 satisfaction of the security interest may be submitted to the
 26 department ~~in lieu~~**instead** of the title for purposes of
 27 transferring ownership in the vehicle.

28 (9) **As used in this section, "installment buyer", "installment**
 29 **sale contract", and "installment seller" mean those terms as**



1 defined in section 2 of the motor vehicle sales finance act, 1950
 2 (Ex Sess) PA 27, MCL 492.102.

3 Sec. 239. A-~~Except for a title issued electronically under~~
 4 **section 222**, a person shall not fail or neglect to properly ~~endorse~~
 5 **indorse** and deliver a certificate of title to a transferee or owner
 6 lawfully entitled to the title. A person ~~who~~**that** violates this
 7 section is responsible for a civil infraction and ~~shall~~**may** be
 8 ordered to pay a civil fine of not more than \$100.00.

9 Sec. 240. (1) The owner of a motor vehicle who has made a bona
 10 fide sale by transfer of ~~his or her~~**the owner's** title or interest
 11 and, **except for a title issued electronically under section 222**,
 12 who has delivered possession of the vehicle and the certificate of
 13 title to that vehicle properly endorsed to the purchaser or
 14 transferee is not liable for any damages or a violation of law that
 15 subsequently results from the use or ownership of the vehicle by
 16 another, if the owner, other than a licensed dealer, satisfies the
 17 conditions prescribed under subsection (2).

18 (2) The owner of a motor vehicle, other than a licensed
 19 dealer, shall satisfy 1 of the following conditions:

20 (a) Accompany the purchaser of the vehicle to a secretary of
 21 state branch office to assure that the title of the vehicle being
 22 sold is transferred.

23 (b) Maintain a record of the sale for not less than 18 months.
 24 As used in this subdivision, "record of the sale" means either a
 25 photocopy of the reassigned title or a form or document that
 26 includes the name, address, driver license number, and signature of
 27 the person to whom the vehicle is sold and the purchase price and
 28 date of sale of the vehicle.

29 (3) A person ~~who~~**that** violates subsection (2) is responsible



1 for a civil infraction and ~~shall~~**may** be ordered to pay a civil fine
2 of \$15.00.

3 (4) A person ~~who~~**that** violates subsection (2) is presumed to
4 be the last titled owner and to be liable for towing fees and daily
5 storage fees for an abandoned motor vehicle.

6 Sec. 248. (1) The secretary of state shall not grant a dealer
7 license under this section until the secretary **of state** conducts an
8 investigation of the applicant's qualifications under this act. ~~7~~
9 ~~except that this~~**This** subsection does not apply to a license
10 renewal. The secretary of state shall conduct the investigation
11 within 15 days after receiving the application and prepare a report
12 on the investigation.

13 (2) An applicant for a new vehicle dealer or a used or
14 secondhand vehicle dealer or broker license shall include a
15 properly executed bond or a bond renewal certificate, approved by
16 the secretary of state, with the license application. If a renewal
17 certificate is used, the bond is considered renewed for each
18 succeeding year in the same amount and with the same effect as an
19 original bond. The bond must be in the amount of \$25,000.00. The
20 bond must indemnify or reimburse a purchaser, seller, lessee,
21 financing agency, or governmental agency for monetary loss caused
22 through fraud, cheating, or misrepresentation in the conduct of the
23 vehicle business whether the fraud, cheating, or misrepresentation
24 was made by the dealer or by an employee, agent, or salesperson of
25 the dealer. The surety shall ~~make indemnification~~**indemnify** or
26 ~~reimbursement for~~**reimburse** a monetary loss only after a judgment
27 based on fraud, cheating, or misrepresentation is entered in a
28 court of record against the licensee, ~~or~~ a final order that the
29 licensee has engaged in fraud, cheating, or misrepresentation is



1 issued by the secretary of state after an administrative hearing,
 2 **or the licensee and the secretary of state enter into a stipulated**
 3 **agreement.** The bond must also indemnify or reimburse the state for
 4 any sales tax deficiency as provided in the general sales tax act,
 5 1933 PA 167, MCL 205.51 to 205.78, or use tax deficiency as
 6 provided in the use tax act, 1937 PA 94, MCL 205.91 to 205.111, for
 7 the year in which the bond is in force. The surety shall ~~make~~
 8 ~~indemnification~~ **indemnify** or ~~reimbursement~~ **reimburse** only after a
 9 final judgment is entered in a court of record against the
 10 licensee, ~~or a final order is issued by the secretary of state~~
 11 after an administrative hearing, **or the licensee and the secretary**
 12 **of state enter into a stipulated agreement.** A dealer or applicant
 13 that provides proof that is satisfactory to the secretary of state
 14 that a bond similar to the bond required by this subsection is
 15 executed and in force is exempt from the bond requirements of this
 16 subsection. The aggregate liability of the surety must not exceed
 17 the sum of the bond. The surety on the bond may cancel the bond by
 18 giving notice in writing to the secretary of state of the
 19 cancellation at least 30 days before the effective date of the
 20 cancellation and is not liable for a breach of condition occurring
 21 after the effective date of the cancellation.

22 (3) An applicant for a new vehicle dealer or a used or
 23 secondhand vehicle dealer license shall apply for not less than 2
 24 dealer plates under section 245 and shall include with the
 25 application the proper fee for those plates under section 803.

26 (4) As a condition precedent to the granting of a license, a
 27 dealer must file with the secretary of state an irrevocable written
 28 stipulation, authenticated by the applicant, stipulating and
 29 agreeing that legal process affecting the dealer, served on the



1 secretary of state or a deputy of the secretary of state, has the
2 same effect as if personally served on the dealer. This appointment
3 remains in force as long as the dealer has any outstanding
4 liability within this state.

5 (5) A person shall not carry on or conduct the business of
6 buying, selling, brokering, leasing, negotiating a lease, or
7 dealing in 5 or more vehicles of a type required to be titled under
8 this act in a 12-month period unless the person obtains a dealer
9 license from the secretary of state authorizing the carrying on or
10 conducting of that business. A person shall not carry on or conduct
11 the business of buying, selling, brokering, leasing, negotiating a
12 lease, or dealing in 5 or more distressed, late model vehicles or
13 salvageable parts to 5 or more of those vehicles in a 12-month
14 period unless the person obtains a used or secondhand vehicle parts
15 dealer, an automotive recycler, or a salvage pool license from the
16 secretary of state or is an insurance company admitted to conduct
17 business in this state. A person shall not carry on or conduct the
18 business of buying 5 or more vehicles in a 12-month period to
19 process into scrap metal or store or display 5 or more vehicles in
20 a 12-month period as an agent or escrow agent of an insurance
21 company unless the person obtains a dealer license from the
22 secretary of state. A vehicle scrap metal processor that does not
23 purchase vehicles or salvageable parts from unlicensed persons is
24 not required to obtain a dealer license. A person from another
25 state shall not purchase, sell, or otherwise deal in distressed,
26 late model vehicles or salvageable parts unless the person obtains
27 a foreign salvage vehicle dealer license from the secretary of
28 state under section 248b. A person, including a dealer, shall not
29 purchase or acquire a distressed, late model vehicle or a



1 salvageable part through a salvage pool, auction, or broker without
2 a license as a salvage vehicle agent. The secretary of state shall
3 investigate and seek prosecution, if necessary, of persons
4 allegedly conducting a business without a license.

5 (6) The application for a dealer license must be in the form
6 prescribed by the secretary of state and signed by the applicant.
7 In addition to any other information required by the secretary of
8 state, the application must include all of the following:

9 (a) The name of the applicant.

10 (b) The location of the applicant's established place of
11 business in this state, ~~together with~~ a written verification from
12 the appropriate governing or zoning authority that the established
13 place of business meets all applicable municipal and zoning
14 requirements.

15 (c) The name under which the dealer will conduct business.

16 (d) If the business is a corporation, the state of
17 incorporation.

18 (e) If the business is a sole proprietorship or partnership,
19 the name, address, and date of birth of each owner or partner; if
20 the business is a corporation, the name, address, and date of birth
21 of each of the principal officers.

22 (f) The county in which the applicant will conduct business
23 and the address of each place of business in that county.

24 (g) If the dealer's business is the sale of new vehicles, the
25 make or makes of those vehicles. ~~Each~~ A new vehicle dealer shall
26 send with the application for license a certification that the
27 dealer holds a bona fide contract to act as factory representative,
28 factory distributor, or distributor representative to sell at
29 retail (the make of vehicle to be sold) and that the



1 contract meets the requirements for a dealer agreement under the
2 motor vehicle franchise act, 1981 PA 118, MCL 445.1561 to 445.1583.

3 (h) A statement of the previous history, record, and
4 associations of the applicant and of each owner, partner, officer,
5 or director of the applicant. The statement must be sufficient to
6 establish to the satisfaction of the secretary of state the
7 business reputation and character of the applicant.

8 (i) A statement showing whether the applicant has previously
9 applied for a license, the result of the application, and whether
10 the applicant has ever been the holder of a dealer license that was
11 revoked or suspended.

12 (j) If the applicant is a corporation or partnership, a
13 statement showing whether a partner, employee, officer, or director
14 has been refused a license or has been the holder of a license that
15 was revoked or suspended.

16 (k) If the application is for a used or secondhand vehicle
17 parts dealer or an automotive recycler, all of the following:

18 (i) Evidence that the applicant maintains or will maintain an
19 established place of business.

20 (ii) Evidence that the applicant maintains or will maintain a
21 police book and vehicle parts purchase and sales and lease records
22 as required under this act.

23 (iii) Evidence of worker's compensation insurance coverage for
24 employees classified under the North American Industry
25 Classification System number ~~42114~~, **423140**, entitled "motor vehicle
26 parts (used) merchant wholesalers" or under the National Council on
27 Compensation Insurance classification code number 3821, entitled
28 "automobile dismantling", if applicable.

29 (l) A certification that neither the applicant nor another



1 person named on the application is acting as the alter ego of any
2 other person or persons in seeking the license. For the purpose of
3 this subdivision, "alter ego" means a person that acts for and on
4 behalf of, or in the place of, another person for purposes of
5 obtaining a vehicle dealer license.

6 (m) A certification that the applicant if the applicant is an
7 individual or sole proprietorship, the partners of the applicant if
8 the applicant is a partnership, the principal officers of the
9 applicant if the applicant is a corporation, or any other
10 individual who is responsible for the daily operations of the
11 dealership, as applicable, has reviewed and understands the
12 requirements of this act, the rules promulgated under this act, the
13 dealer manual published by the secretary of state, and any other
14 applicable material provided by the department.

15 (n) For an application submitted by or on behalf of an
16 eligible used vehicle dealer for an original license, a
17 certification that within the 6-month period preceding the date of
18 the application, the applicant, the partners of the applicant, or
19 the principal officers of the applicant, as applicable, completed
20 the dealer training program described in section 248/(2). This
21 subdivision does not apply to an application to renew the license
22 of an eligible used vehicle dealer and does not apply to any
23 original license that was granted to an eligible used vehicle
24 dealer before, and that is valid on, March 20, 2019. As used in
25 this subdivision and subdivision (o), "eligible used vehicle
26 dealer" means that term as defined in section 248/.

27 (o) For an application submitted by or on behalf of an
28 eligible used vehicle dealer for an original or renewal license, a
29 certification that each retail sales location of that dealer has an



1 employee that has completed the dealer training program required
2 under section 248/(3) or (5), as applicable.

3 (7) A person shall apply separately for a dealer license for
4 each county in which business is to be conducted. Before moving 1
5 or more places of business or opening an additional place of
6 business, a dealer shall apply to the secretary of state for and
7 obtain a supplemental dealer license. The secretary of state shall
8 not charge a fee for a supplemental dealer license and shall issue
9 a supplemental dealer license only for a location, including a
10 tent, temporary stand, or any temporary quarters, that does not
11 meet the definition of an established place of business, within the
12 county in which the dealer's established place of business is
13 located. A dealer license entitles the dealer to conduct the
14 business of buying, selling, leasing, and dealing in vehicles or
15 salvageable parts in the county covered by the license. The dealer
16 license also entitles the dealer to conduct at any other licensed
17 dealer's established place of business in this state only the
18 business of buying, selling, leasing, or dealing in vehicles at
19 wholesale.

20 (8) The secretary of state shall classify and differentiate
21 vehicle dealers according to the type of activity they perform. A
22 dealer shall not engage in activities of a particular
23 classification as provided in this act unless the dealer is
24 licensed in that classification. An applicant may apply for a
25 dealer license in 1 or more of the following classifications:

26 (a) New vehicle dealer.

27 (b) Used or secondhand vehicle dealer. A used or secondhand
28 vehicle dealer may be eligible for a mobility dealer endorsement
29 under section 248k.



1 (c) Used or secondhand vehicle parts dealer.

2 (d) Vehicle scrap metal processor.

3 (e) Vehicle salvage pool operator.

4 (f) Distressed vehicle transporter.

5 (g) Broker.

6 (h) Foreign salvage vehicle dealer.

7 (i) Automotive recycler.

8 (j) Wholesaler.

9 (9) All of the following apply to the issuance, renewal, and
10 expiration of a dealer license under this section:

11 (a) A dealer license expires on December 31 of the last year
12 that the license is valid.

13 (b) A dealer shall renew its dealer license annually. The
14 secretary of state may renew a dealer license for a period of not
15 more than 4 years if the secretary receives a renewal application
16 and payment of the fee required under section 807.

17 (c) To renew a dealer license, the dealer shall file an
18 application for renewal with the secretary of state at least 30
19 days before the expiration of its current license.

20 (d) If a dealer has not renewed its dealer license on or
21 before the expiration date of its current license, the secretary of
22 state ~~within~~ **not later than** 10 business days after that expiration
23 date must notify the dealer that the secretary of state has not
24 received its renewal application. The notice must include the
25 amount of the late renewal fee.

26 (e) A dealer may continue to operate its dealer business after
27 the expiration of its dealer license, pending approval of the
28 renewal application, if the renewal application is delivered in
29 person or mailed to the secretary of state on or before the



1 expiration date of the license. If requested by the department, a
2 dealer that mails an application under this subdivision must
3 provide proof of **the** mailing of the renewal application that is
4 satisfactory to the department.

5 (f) If an application to renew a dealer license is filed with
6 the secretary of state after the expiration of that license, the
7 dealer may operate its dealer business beginning on the date on
8 which the application is delivered or mailed to the secretary of
9 state, pending approval of the renewal application. If requested by
10 the department, a dealer that mails an application under this
11 subdivision must provide proof of **the** mailing of the renewal
12 application that is satisfactory to the department. A dealer shall
13 pay a renewal fee equal to 150% of the normal renewal fee for a
14 renewal described in this subdivision.

15 (g) If a dealer files an application to renew a dealer license
16 more than 30 days after the expiration of that license, the dealer
17 is considered a new applicant for a dealer license under this
18 section.

19 (h) The secretary of state shall deposit the late renewal fees
20 collected under subdivisions (d) and (f) in the transportation
21 administration collection fund created in section 810b.

22 (i) The secretary of state shall not renew ~~a~~**the** dealer's
23 license if the applicant has not bought or sold more than 5
24 vehicles during the 12 months preceding the dealer's renewal
25 application.

26 (10) A dealer may conduct the business of buying, selling, or
27 dealing in motor homes, trailer coaches, trailers, or pickup
28 campers at a recreational vehicle show conducted at a location in
29 this state without obtaining a separate or supplemental license



1 under subsection (7) if all of the following apply:

2 (a) The dealer is licensed as a new vehicle dealer or used or
3 secondhand vehicle dealer.

4 (b) The duration of the recreational vehicle show is not more
5 than 14 days.

6 (c) Not less than 14 days before the beginning date of the
7 recreational vehicle show, the show producer notifies the secretary
8 of state, in a manner and form prescribed by the secretary of
9 state, that the recreational vehicle show is scheduled, the
10 location, dates, and times of the recreational vehicle show, and
11 the name, address, and dealer license number of each dealer
12 participating in the recreational vehicle show.

13 (11) Notwithstanding section 235, a dealer may advertise or
14 display to the public a vehicle that the dealer has acquired or
15 that is available to the dealer directly from the manufacturer or
16 distributor or the manufacturer's or distributor's subsidiary or
17 affiliate within a reasonable period of time, **or a vehicle for**
18 **which the dealer has requested a paper title from the department**
19 **after the dealer assumed the lien**, even though the dealer is still
20 waiting on possession of the vehicle's title. ~~Such a~~ **The** vehicle,
21 if displayed on the dealer's lot, must be placed in a dedicated
22 area at the dealership and arranged in a manner that clearly
23 separates the vehicle from those **vehicles that are** available for
24 immediate sale to the public with signage placed on the vehicle
25 indicating the vehicle is not available for final sale until the
26 title is in the possession of the dealer.

27 (12) A dealer may park, store, hold, and repair vehicles owned
28 under 1 dealer license on the lot or property held by the same
29 dealer under a separate dealer license that is located within a 15-



1 mile radius.

2 (13) Except as otherwise provided in this subsection, a dealer
3 may surrender a dealer license by delivering to the secretary of
4 state the license and written notice that the dealer surrenders the
5 license. The surrender of a license under this subsection does not
6 affect the dealer's administrative, civil, or criminal liability
7 for an act committed before the surrender of the license under this
8 subsection. The surrender of a license does not affect a proceeding
9 to suspend or revoke a license. The secretary of state shall not
10 issue a refund to the dealer surrendering the license. The
11 secretary of state shall not issue the surrendering dealer a new
12 dealer license at this location before 1 year after the voluntary
13 surrender of the license. The secretary of state shall deny a
14 dealer's attempt to surrender a dealer license under this
15 subsection if the secretary of state determines that the dealer is
16 surrendering the license to avoid disciplinary action.

17 Sec. 248a. (1) A motor vehicle dealer shall not advertise or
18 represent a motor vehicle to be a demonstrator, **courtesy**
19 **transportation vehicle**, executive or manufacturer's vehicle, leased
20 vehicle, new motor vehicle, or used or secondhand vehicle unless
21 the vehicle so described is as defined in this act.

22 (2) A motor vehicle dealer shall maintain and adhere to
23 designated business hours that are filed with the secretary of
24 state.

25 Sec. 248j. (1) In addition to any other remedies provided by
26 law, if the secretary of state determines that a person has acted
27 as a dealer without a dealer license, ~~he or she~~ **the secretary of**
28 **state** may issue the person a verbal or written warning or assess an
29 administrative fine of not more than \$5,000.00 for a first



1 violation, and not more than \$7,500.00 for each subsequent
2 violation occurring ~~within~~**not later than** 7 years ~~of~~**after** a prior
3 violation.

4 (2) If the secretary of state assesses an administrative fine
5 under subsection (1), the secretary of state shall provide notice
6 of the assessment in writing ~~pursuant to~~**under** section 212. At a
7 minimum, the notice of assessment ~~shall~~**must** contain all of the
8 following:

9 (a) A unique identification number.

10 (b) A description of the alleged violation that is the basis
11 for the assessment, including the date the alleged violation
12 occurred and a reference to the specific section or rule alleged to
13 have been violated.

14 (c) The administrative fine established for the violation.

15 (d) A statement indicating that if the fine is not paid, the
16 secretary of state may refer the fine to the department of treasury
17 for collection.

18 (e) A statement indicating that if the alleged violation is
19 contested, the person has a right to request an informal conference
20 before an administrative hearing, accompanied by simple
21 instructions informing the person how to request or waive the
22 informal conference.

23 (3) Not later than 20 days after receiving the written notice
24 of assessment, the alleged violator shall do 1 of the following:

25 (a) Pay the administrative fine to the secretary of state. A
26 payment waives the person's right to an informal conference and an
27 administrative hearing.

28 (b) Request the secretary of state to conduct an informal
29 conference.



1 (c) Waive the right to an informal conference and request the
2 secretary of state to conduct an administrative hearing.

3 (d) If the person is not a licensed dealer, pay the
4 administrative fine to the secretary of state and submit a properly
5 completed dealer license application to the secretary of state.

6 (4) A person's request for an informal conference or an
7 administrative hearing ~~shall~~**must** comply with all of the following:

8 (a) Be in writing.

9 (b) Be postmarked or received by the department ~~within~~**not**
10 **later than** 20 days after the date the person received the written
11 notice of assessment.

12 (c) State the name, address, and telephone number of the
13 person requesting the informal conference or administrative
14 hearing.

15 (d) State the written notice of assessment's unique
16 identification number.

17 (e) State the reason for the request.

18 (f) If the request is for an administrative hearing without an
19 informal conference, state the person is waiving ~~his or her~~**the**
20 **person's** right to an informal conference.

21 (5) If the secretary of state receives a request for an
22 informal conference or an administrative hearing that meets all of
23 the conditions prescribed in subsection (4), the secretary of state
24 shall schedule an informal conference or an administrative hearing,
25 as applicable. If the request fails to meet all of the conditions
26 prescribed in subsection (4), the secretary of state may in writing
27 deny the request. A denial ~~shall~~**must** be served on the person by
28 first-class mail and ~~shall~~ do both of the following:

29 (a) State the reason for the denial.



1 (b) Grant the person 14 days to submit a valid request to the
2 secretary of state.

3 (6) The secretary of state shall conduct an informal
4 conference under this section ~~within~~**not later than** 45 days after
5 receiving a valid request for the conference. The secretary of
6 state shall serve ~~upon~~**on** the alleged violator, by first-class mail
7 not less than 5 days before the conference, a written notice that
8 includes time, place, and date of the informal conference. The
9 notice ~~shall~~**must** state that the alleged violator may be
10 represented by an attorney at the informal conference.

11 (7) After the informal conference, the secretary of state
12 shall evaluate the validity of the assessment of the administrative
13 fine and affirm ~~, modify,~~ or dismiss the assessment, **or offer the**
14 **alleged violator an alternative penalty agreement in lieu of an**
15 **administrative hearing.** In making the evaluation, the secretary of
16 state may consider 1 or more of the following:

17 (a) Whether there is reason to believe the alleged violation
18 did in fact occur.

19 (b) The severity of the alleged violation and its impact on
20 the public.

21 (c) The number of prior or related violations by the person.

22 (d) The likelihood of future compliance by the person.

23 (e) Any other considerations the secretary of state considers
24 appropriate.

25 (8) ~~Within~~**Not later than** 20 days after conducting the
26 informal conference, the secretary of state shall serve ~~upon~~**on** the
27 person by first-class mail a written statement describing whether
28 the assessment of the administrative fine is affirmed ~~, modified,~~
29 or dismissed and the basis of the action. If the assessment is



1 affirmed, ~~or modified,~~ this statement ~~shall~~ **must** also advise the
 2 person that ~~he or she~~ **the person** will receive a notice of hearing
 3 where the validity of the assessment may be contested or ~~he or she~~
 4 **the person** may immediately pay the fine to the secretary of state
 5 and that payment of the fine will prevent scheduling of an
 6 administrative hearing.

7 **(9) As an alternative to or in addition to administrative**
 8 **action under this section, the secretary of state may, by written**
 9 **agreement with the alleged violator, place the alleged violator's**
 10 **license on probation and include conditions on the probation in the**
 11 **agreement, including, but not limited to, paying an administrative**
 12 **fine.**

13 **(10)** ~~(9)~~ A notice of hearing under this section ~~shall~~ **must** be
 14 served on the person by first-class mail not less than 5 days
 15 before the date scheduled for the administrative hearing and, at a
 16 minimum, advise the person of all of the following:

17 (a) The time, place, and date of hearing.

18 (b) That an impartial hearing officer will conduct the hearing
 19 and allow the person an opportunity to examine the secretary of
 20 state's evidence and present evidence in person or in writing.

21 (c) That the person has a right to be represented by an
 22 attorney at the administrative hearing.

23 (d) The common reasons why the secretary of state could
 24 dismiss an assessment of an administrative fine.

25 (e) That the hearing officer conducting the administrative
 26 hearing will be authorized to do all of the following:

27 (i) Affirm, modify, or dismiss the assessment of an
 28 administrative fine.

29 (ii) Correct any errors in the department's records that relate



1 directly to the assessment.

2 (iii) Refer or not refer the fine to the department of treasury
3 for collection.

4 (iv) Take or order any other action or resolution considered
5 appropriate by the hearing officer.

6 (f) That if the department of treasury takes enforcement
7 action against the person, ~~he or she~~ **the person** may seek a review
8 in the court of claims.

9 **(11)** ~~(10)~~ The secretary of state shall conduct an
10 administrative hearing under this section ~~pursuant to~~ **under** the
11 contested case provisions of the administrative procedures act of
12 1969, 1969 PA 306, MCL 24.201 to 24.328. If an administrative fine
13 assessed under this section is affirmed by the decision of the
14 hearing officer, the hearing officer may assess the person costs of
15 not more than \$500.00, to reimburse the secretary of state for
16 proving the validity of the alleged violation, in addition to any
17 other penalties, sanctions, or costs imposed as provided by law.

18 **(12)** ~~(11)~~ An administrative fine assessed under this section
19 becomes final ~~upon~~ **on** the first to occur of the following:

20 (a) The secretary of state does not receive a valid request
21 for an informal conference or an administrative hearing within the
22 time period described in subsection (4).

23 (b) Twenty days after a person waives ~~his or her~~ **the person's**
24 right to an administrative hearing.

25 **(c) The person and the secretary of state sign an agreement**
26 **that includes an administrative fine.**

27 **(d)** ~~(e)~~ An administrative hearing decision is served ~~upon~~ **on**
28 the person.

29 **(13)** ~~(12)~~ After a person pays the secretary of state the fine



1 imposed, the secretary of state shall forward the money to the
 2 department of treasury for deposit in a separate fund within the
 3 general fund. ~~Upon~~ **On** appropriation, this money ~~shall~~ **must** be used
 4 first to defray the expense of the secretary of state in
 5 administering this chapter.

6 **(14)** ~~(13)~~ If an administrative fine assessed under this
 7 section is not paid ~~within~~ **not later than** 60 days after it becomes
 8 final, the secretary of state may refer the matter to the
 9 department of treasury for collection as a state debt through the
 10 offset of state tax refunds and may use the services of the
 11 department of treasury to levy the salary, wages, or other income
 12 or assets of the person as provided by law.

13 **(15)** ~~(14)~~ Payment of an administrative fine assessed under
 14 this section does not constitute an admission of responsibility or
 15 guilt by the person. Payment of an administrative fine assessed
 16 under this section does not prevent the secretary of state from
 17 charging a violation described in the assessment of the
 18 administrative fine in a subsequent or concurrent contested case
 19 proceeding conducted by the secretary of state pursuant to the
 20 administrative procedures act of 1969, 1969 PA 306, MCL 24.201 to
 21 24.328.

22 **(16)** ~~(15)~~ If the person submits a properly completed
 23 application and appropriate fee for a dealer license ~~within~~ **not**
 24 **later than** 20 days after an administrative fine under subsection
 25 (1) is assessed, and if the secretary of state issues the person a
 26 dealer license ~~within~~ **not later than** 45 days ~~of~~ **after** receiving the
 27 properly completed application and fee, the secretary of state
 28 shall reduce the amount of the administrative fine by 50%.

29 **(17)** ~~(16)~~ The secretary of state shall serve a notice, denial,



1 decision, or statement under this section in compliance with
2 section 212.

3 **(18)** ~~(17)~~ An informal conference under this section is not a
4 compliance conference under section 92 of the administrative
5 procedures act of 1969, 1969 PA 306, MCL 24.292.

6 Sec. 249. The secretary of state may deny the application of a
7 person for a license as a dealer and refuse to issue the person a
8 license as a dealer, or may suspend or revoke a license already
9 issued, if the secretary of state finds that 1 or more of the
10 following apply:

11 (a) The applicant or licensee has made a false statement of a
12 material fact in ~~his or her~~ **the applicant or licensee's**
13 application.

14 (b) The applicant or licensee has not complied with the
15 provisions of this chapter or a rule promulgated under this
16 chapter.

17 (c) The applicant or licensee has sold or leased or offered
18 for sale or lease a new vehicle of a type required to be registered
19 under this act without having authority of a contract with a
20 manufacturer or distributor of the new vehicle.

21 (d) The applicant or licensee has ~~been guilty of~~ **committed** a
22 fraudulent act in connection with selling, leasing, or otherwise
23 dealing in vehicles of a type required to be registered under this
24 act. **As used in this subdivision, "fraudulent act" means a**
25 **deliberate misrepresentation of a material fact made with the**
26 **intent to deceive another person or the secretary of state that**
27 **leads the other person or secretary of state to rely on the**
28 **misrepresentation to the person's or secretary of state's**
29 **detriment. To establish a fraudulent act under this subdivision,**



1 the secretary of state must establish all of the following:

2 (i) The applicant or licensee made a material representation.

3 (ii) The representation was false.

4 (iii) The applicant or licensee knew the representation was
5 false or made the representation recklessly without any knowledge
6 of the potential truth.

7 (iv) The applicant or licensee made the representation with the
8 intent that a person or the secretary of state act on the
9 representation.

10 (v) The person or secretary of state acted in reliance on the
11 representation.

12 (vi) The person or secretary of state suffered an injury as a
13 result of acting in reliance on the representation.

14 (e) The applicant or licensee has entered into or is about to
15 enter into a contract or agreement with a manufacturer or
16 distributor of vehicles of a type required to be registered under
17 this act that is contrary to any provision of this act.

18 (f) The applicant or licensee has no established place of
19 business that is used or will be used for the purpose of selling,
20 leasing, displaying, or offering for sale or lease or dealing in
21 vehicles of a type required to be registered, and does not have
22 proper servicing facilities.

23 (g) The applicant or licensee is a corporation, ~~or~~
24 partnership, **or limited liability company**, and a stockholder,
25 officer, director, or partner of the applicant or licensee has been
26 guilty of any act or omission that would be cause for refusing,
27 revoking, or suspending a license issued to the stockholder,
28 officer, director, or partner as an individual.

29 (h) The applicant or licensee has possessed a vehicle or a



1 vehicle part that has been confiscated under section 415 of the
2 Michigan penal code, 1931 PA 328, MCL 750.415. The secretary of
3 state shall conduct a hearing pursuant to the administrative
4 procedures act of 1969, 1969 PA 306, MCL 24.201 to 24.328, before
5 the secretary of state takes any action under this subdivision.

6 (i) The applicant or licensee has been convicted under section
7 415 of the Michigan penal code, 1931 PA 328, MCL 750.415.

8 (j) The applicant or licensee has been convicted of violating
9 1986 PA 119, MCL 257.1351 to 257.1355.

10 (k) The established place of business of the applicant or
11 licensee is not in compliance with all applicable zoning
12 requirements and municipal requirements.

13 (l) The applicant or licensee has engaged in the business of
14 buying, selling, trading, or exchanging new, used, or secondhand
15 motor vehicles or has offered to buy, sell, trade, or exchange, or
16 participate in the negotiation thereof, or attempted to buy, sell,
17 trade, or exchange any motor vehicle or interest in any motor
18 vehicle or any written instrument pertaining to a motor vehicle on
19 a Sunday, as prohibited by 1953 PA 66, MCL 435.251 to 435.254.

20 Sec. 250. (1) If the secretary of state receives a complaint
21 against a licensee that merits an investigation, the secretary of
22 state must notify the licensee, and the complaint must be made
23 available to the licensee at no charge **at the time the state**
24 **notifies the licensee.** Before denying, revoking, suspending, or
25 refusing to renew a dealer's license the secretary of state shall
26 do all of the following:

27 (a) Investigate the licensee after a complaint in writing of
28 any person has been filed with the secretary of state.

29 **(b) Provide the licensee with a copy of all documentation,**



1 including digital records and digital or audio recordings, the
 2 secretary of state collected, examined, or copied as part of the
 3 complaint at least 10 days before the hearing under subdivision
 4 (c) .

5 (c) ~~(b)~~ Set a date for hearing and give the licensee notice of
 6 the hearing ~~at least~~ **not less than** 10 days in advance in the manner
 7 ~~herein provided in this section. A matter shall not proceed to~~
 8 **hearing until all documents in subdivision (b) have been provided**
 9 **to the licensee.**

10 (d) ~~(c)~~ Record the hearing proceedings.

11 (e) ~~(d)~~ Enter a final order with the secretary of state's
 12 findings.

13 (2) A final order of the secretary of state under subsection
 14 ~~(1)(d)~~ **(1)(e)** is final unless, ~~within~~ **not later than** 30 days after
 15 notice of ~~such~~ **the final** order is mailed by the secretary of state
 16 to the person whose application or license is denied, revoked,
 17 suspended, or refused, the licensee appeals the final order to the
 18 circuit court for the county in which the licensee resides or
 19 maintains a place of business or to the circuit court for the
 20 county of Ingham. On appeal, the court shall review both law and
 21 facts as disclosed by the record, and may in ~~its~~ **the court's**
 22 discretion receive newly discovered evidence, but shall not conduct
 23 a hearing de novo. The court may confirm, modify, or set aside ~~such~~
 24 **a final** order and make ~~such~~ **any** further orders as justice ~~may~~
 25 ~~require.~~ **requires.**

26 Sec. 258. (1) The secretary of state may cancel, revoke,
 27 **delete**, or suspend the registration of a vehicle, a certificate of
 28 title, registration certificate, or registration plate if any of
 29 the following apply:



1 (a) The secretary of state determines that the registration,
2 certificate of title, or plate was fraudulently or erroneously
3 issued.

4 (b) The secretary of state determines that the licensee has
5 made or is making an unlawful use of ~~his or her~~ **the** registration
6 certificate, plate, or certificate of title.

7 (c) A registered vehicle has been dismantled or wrecked.

8 (d) The secretary of state determines that the required fee
9 has not been paid and it is not paid ~~upon~~ **on** reasonable notice or
10 demand.

11 (e) A registration certificate or registration plate is
12 knowingly displayed ~~upon~~ **on** a vehicle other than the one for which
13 it was issued.

14 (f) The secretary of state determines that the owner has
15 committed an offense under this act involving the registration or
16 certificate of title.

17 (g) The secretary of state is authorized to do so under this
18 act.

19 (h) ~~Upon~~ **On** receiving notification from another state or
20 foreign country that a certificate of title issued by the secretary
21 of state has been surrendered by the owner ~~in conformity with~~ **under**
22 the laws of that state or foreign country.

23 (i) It is shown by satisfactory evidence that delivery of a
24 motor vehicle in the possession of a dealer was not made to the
25 applicant registered under this act. The money paid for
26 registration and license fees may be refunded to the party ~~who~~ **that**
27 applies for the refund.

28 (j) The owner is a motor carrier subject to an out-of-service
29 order. As used in this subdivision, "out-of-service order" means



1 that term as defined in 49 CFR 390.5, and ~~also~~ includes an out-of-
 2 service order issued under 49 CFR 386.73. A law enforcement officer
 3 may also confiscate a registration plate issued to a motor carrier
 4 described in this subdivision.

5 (2) If the licensee's offense consists of hauling on the
 6 registered vehicle a gross weight more than 1,000 pounds in excess
 7 of the elected gross weight specified on the owners' registration
 8 certificate, **the secretary of state shall cancel** the registration
 9 ~~shall be canceled~~ and the vehicle ~~shall~~ **must** not ~~again~~ be operated
 10 on the highways, roads, or streets until it is registered again and
 11 new plates are issued. The new registration fee ~~shall~~ **must** be
 12 computed on the basis of twice the difference between the original
 13 registration fee and the registration fee applicable to the gross
 14 weight constituting the violation of the elected gross weight. One-
 15 half of the new registration fee ~~shall be~~ **is** a penalty. The period
 16 of the new registration fee ~~shall~~ **must** not extend beyond the
 17 termination date of the canceled registration certificate. The new
 18 registration fee ~~shall~~ **must** not exceed the maximum gross weight of
 19 the vehicle or combination of vehicles as determined by the number
 20 of axles and the legal weight applicable to those axles as
 21 specified by section 722. The gross weight of a vehicle or
 22 combination of vehicles may be determined by weighing the
 23 individual axles or group of axles, and the total weight on all
 24 axles is the gross vehicle weight.

25 (3) Before the secretary of state makes a cancellation under
 26 subsection ~~(1) (a), (b),~~ **(1) (b)**, (e), (f), or (g), the person
 27 affected by the cancellation ~~shall~~ **must** be given notice and an
 28 opportunity to be heard.

29 Sec. 801b. (1) If a person, through error either on ~~his or her~~



1 **the person's** own part or that of the secretary of state, pays the
 2 specific tax required by section 801 or 802 more than once on the
 3 same equipment, the secretary of state, ~~upon-on~~ application and
 4 satisfactory proof, shall refund the amount paid in error. A claim
 5 ~~shall-must~~ be filed ~~within-not later than~~ 1 year after the date of
 6 payment and verified by the secretary of state before a refund is
 7 made. If an application for a dealer license provided for in
 8 section 248 is withdrawn by the applicant or the applicant's heir,
 9 before issuance of the dealer license, the fees that accompanied
 10 the application under sections 803, 803a, and 807 may be refunded
 11 by the secretary of state ~~upon-on~~ application and satisfactory
 12 proof.

13 (2) If a person's license to drive a motor vehicle is revoked,
 14 suspended, or denied for medical or physical reasons, the person
 15 may return the registration plates and obtain a refund on the
 16 plates prorated on a monthly basis for the time period remaining in
 17 the registration year from the date the plates are returned.
 18 However, the refund ~~shall-must~~ not exceed the original registration
 19 fee.

20 (3) ~~Upon-On~~ the death of a spouse, the surviving spouse may
 21 return registration plates and obtain a refund on the plates
 22 prorated on a monthly basis for the time period remaining in the
 23 registration year from the date the plates are returned. However,
 24 the refund ~~shall-must~~ not exceed the original registration fee.

25 (4) The owner of a registered vehicle who transfers or assigns
 26 title or interest in that registered vehicle before placing ~~upon-on~~
 27 the registered vehicle the registration plates or tabs issued for
 28 that registered vehicle may obtain a refund in full from the
 29 secretary of state for the registration plates or tabs.



1 Registration plates ~~or~~ tabs issued for 1978 and thereafter ~~shall~~
 2 **must** be returned by the owner ~~within~~ **not later than** 30 days
 3 following the date of transfer or assignment.

4 ~~(5) The owner of a vehicle registered pursuant to section~~
 5 ~~801d(2) who transfers or assigns title or interest in the vehicle~~
 6 ~~may obtain a refund on the registration for each unused, whole~~
 7 ~~registration period remaining on the registration from the date the~~
 8 ~~plates are returned and the application for a refund is made.~~

9 **(5)** ~~(6)~~ In the case of an original application for
 10 registration plates issued under section 217a or 803b, the
 11 secretary of state shall issue a refund prorated on a monthly basis
 12 from the date of application for the time period remaining in the
 13 previously issued registration, if an application for the refund is
 14 made and satisfactory proof is presented to the secretary of state.
 15 A refund ~~shall~~ **must** not be made if the amount due is less than
 16 \$5.00.

17 **(6)** ~~(7)~~ In the case of an original application for the
 18 registration plates bearing the letters "SEN" or "REP", the
 19 secretary of state shall issue a refund prorated on a monthly basis
 20 from the date of application for the time period remaining in the
 21 previously issued registration.

22 **(7)** ~~(8)~~ In the case of an original application and issuance of
 23 an international registration plan registration plate under section
 24 801g, the secretary of state shall make a refund as a credit
 25 prorated on a monthly basis from the date of application for the
 26 months remaining for the previously issued registration on the same
 27 vehicle, if an application for the refund as a credit is made and
 28 satisfactory proof of eligibility is presented to the secretary of
 29 state. A refund as a credit ~~shall~~ **must** not exceed the total amount



1 of the Michigan apportioned fees assessed for the plates issued
 2 under section 801g nor be made if the amount due is less than
 3 \$5.00. For the purpose of this subsection, a month ~~shall mean means~~
 4 30 consecutive days and a partial month ~~shall be is~~ considered as a
 5 whole month.

6 **(8) If a licensed dealer submitted a vehicle title and**
 7 **registration application and paid a title application fee and**
 8 **vehicle registration fee and the registrant of the vehicle**
 9 **committed fraud during the registration process, the department**
 10 **shall issue a refund for the vehicle registration fee to the**
 11 **licensed dealer.**

12 Sec. 806. (1) Until October 1, 2027, an applicant for a
 13 certificate of title required by this act or an applicant for a
 14 duplicate of a certificate of title shall accompany the application
 15 with a fee of \$10.00. An applicant that requests that the
 16 application be given special expeditious treatment shall accompany
 17 the application with an additional fee of \$5.00. The secretary of
 18 state shall collect a \$3.00 service fee, in addition to the other
 19 fees collected under this subsection, for each title issued and
 20 shall deposit the fee in the transportation administration
 21 collection fund created under section 810b through October 1, 2027.
 22 Until October 1, 2027, the \$5.00 expeditious treatment fee must be
 23 deposited into the transportation administration collection fund
 24 created under section 810b.

25 (2) An applicant for a special identifying number under
 26 section 230 shall accompany the application with a fee of \$10.00.

27 (3) In addition to paying the fees required by subsection (1),
 28 until December 31, 2027, each person that applies for a certificate
 29 of title, a salvage vehicle certificate of title, or a scrap



1 certificate of title under this act shall pay a tire disposal
2 surcharge of \$1.50 for each certificate of title or duplicate of a
3 certificate of title that person receives. The secretary of state
4 shall deposit money received under this subsection into the scrap
5 tire regulatory fund created in section 16908 of the natural
6 resources and environmental protection act, 1994 PA 451, MCL
7 324.16908.

8 (4) Beginning October 1, 2026, the fees under this section and
9 section 810a do not apply to a new or used vehicle dealer that
10 acquires ownership of a vehicle that has a title from this state
11 issued electronically by the secretary of state and that was not
12 owned by a dealer.

13 (5) Beginning October 1, 2026, for an electronic transfer of
14 title, if an applicant is a new or used vehicle dealer that
15 acquires ownership of a vehicle from another new or used vehicle
16 dealer, the applicant shall pay a fee of \$5.00. This fee applies
17 only if the selling dealer held an electronic title from this
18 state. A new or used vehicle dealer that pays the fee under this
19 subsection is not subject to the fees in subsections (1) to (3) or
20 section 810a. The fee under this subsection must be deposited into
21 the transportation administration collection fund created under
22 section 810b.

23 Sec. 810a. ~~The~~ **Except as otherwise provided in section 806,**
24 **the** secretary of state shall collect an assessment of 50 cents in
25 connection with the issuance of a salvage vehicle certificate of
26 title, a certificate of title, or ~~beginning July 1, 1994~~ a scrap
27 certificate of title. The assessment ~~shall~~ **must** be collected in the
28 same manner and at the same time as fees collected by the secretary
29 of state ~~pursuant to~~ **under** sections 217c and 806. Each assessment



1 collected ~~shall~~**must** be deposited in a vehicle theft prevention
2 account to be expended for purposes of developing a vehicle theft
3 prevention program, including the administration, inspection, and
4 enforcement of antitheft procedures, as described in this act.